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Wealth Insight

June 2026

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The Smart Investor's Stock Guide

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By  HSBC Mutual Fund

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Presenting

RedHex Hybrid
Long-Short Fund

NFO Period:
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Source: Bloomberg, HSBC Asset Management India, Data as on 30 April 2026

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This product is suitable for investors who are seeking*:

- Income and capital appreciation over medium to long term
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The Smart Investor's Stock Guide

**Good
businesses.**

**Better
numbers.**



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HDFC Large and Mid Cap Fund
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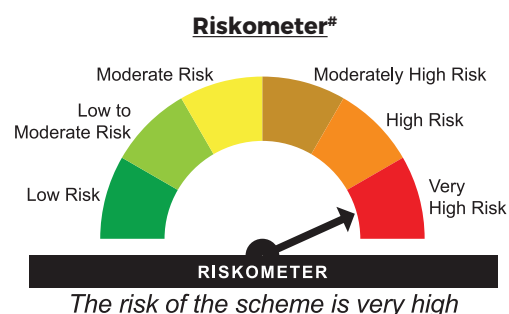
- To generate long-term capital appreciation/income
- Investment predominantly in Large Cap and Mid Cap companies

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For latest Riskometer, investors may refer to the Monthly Portfolios disclosed on the website of the Fund viz. www.hdfcfund.com

Scheme Riskometer as on April 30, 2026.

HDFC Mutual Fund: SEBI Registration Number: MF/044/00/6



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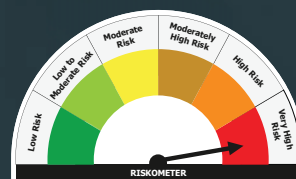
PRODUCT LABELLING

Mirae Asset Large & Midcap Fund (An open-ended equity scheme investing in both large cap and mid cap stocks) is suitable for investors who are seeking*

- Long term capital appreciation
- Large & Mid Cap fund investing atleast 35% in large cap stock & atleast 35% in mid cap stocks

*Investors should consult their financial advisors if they are not clear about the suitability of the product.

Scheme Riskometer



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The goal of Wealth Insight, as with all publications from Value Research, is not just limited to generating profitable ideas for its readers, but to also help them in generating a few of their own. We aim to bring independent, unbiased and meticulously-researched stories that will help you in taking better-informed investment decisions, encouraging you to indulge in a bit of research on your own as well.

All our stories are backed by quantitative data. To this, we add rigorous qualitative research obtained by speaking to a wide variety of stakeholders. We firmly stick to our belief of fundamental research and value-oriented approach as the best way to earn wealth in the stock market. Equally important to us is our unwaveringly focus on long-term planning.

Simplicity is the hallmark of our style. Our writing style is simple and so is the presentation of ideas, but that should not be construed to mean that we oversimplify.

Read, learn and earn and let's grow and evolve as we undertake this voyage together.

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'Small and mid caps likely to grow faster than large caps'

Nikhil Mathur

Fund Manager and Senior Equity Analyst
HDFC AMC



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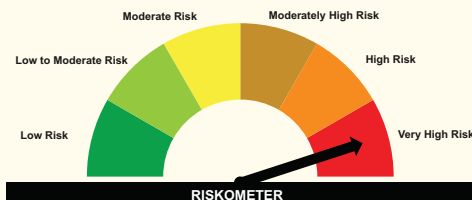
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Old file, new company

▶ The market misprices stocks using outdated assumptions. The opportunity lies in that gap.

I had a college friend who spent his three years doing nothing but *chai-sutta*. Years later, I ran into him, running a sizable business with quiet confidence. The man across the table was not the man I remembered. My picture of him had stopped updating somewhere around 1988.

We all do this. We carry mental snapshots of the people we know, and those snapshots freeze the moment we stop paying attention. One day, the snapshot and the person are two different people. Markets do the same thing with companies. Only the file is even harder to reopen.

Once a business has been labelled, the label sticks. A steady chemicals maker. A slow-growing auto-parts supplier. A defence vendor that sells only to the government. Analysts use it. Fund managers use it. Retail investors use it. It saves the work of looking afresh, and it persists long after the business has moved on.

This is not a defect. It is how attention works. With thousands of listed companies, nobody re-examines each one every quarter. The file we built three years ago is the file we still read from today. Quarterly results rarely force a rewrite. They get absorbed into the existing picture rather than replacing it.

But businesses are not static. Some quietly reinvent themselves. A cyclical company shifts its mix towards

durable, higher-margin work. A single-product business builds a second pillar. None of this happens in one quarter. It takes two, three, or four years, and for most of it, the old file is still loaded. The stock continues to trade against the old description rather than the new reality. That gap is where the money is.

Take Navin Fluorine. Three years before the market repriced it into a 25-bagger, the signal was sitting in the company's own margin file. The same shift showed up at Solar Industries before its return on capital climbed past 40 per cent. The numbers said something the label did not.

I have come to think this is one of the underappreciated sources of return in Indian equity investing. Everyone is hunting for the next great compounder. The names trending on social media are not where the big returns wait. The lucrative ground is one rung below. Businesses where margins have risen, and ROCE has stepped up, but the market has not yet noticed. It will be noticed eventually. The question is whether you are there before it does.

The catch, and there is always one, is that not every improvement is a transformation. Margins can rise on a one-off. Cash can improve on a working-capital release that does not repeat. Separating durable shifts from temporary ones is the real work. A screen cannot do it alone. The screen tells you where to look. The judgment comes from understanding the business behind the numbers.

That is what makes this worth a cover story. The discipline asks you to resist two opposite urges. The urge to dismiss a business for what it used to be. And the urge to celebrate one for what it now claims to be. The serious work sits in between.

Our cover story this month '*Good businesses. Better numbers*' lives in that middle ground. Ten companies where the numbers say something has genuinely changed, and the market has yet to agree. The names will not all be familiar. That, in a way, is the point. Familiarity is the enemy here. The stocks worth finding are those we have not yet registered.

Everyone hunts for the next great compounder. Yet, the lucrative ground lies where margins have risen and ROCE has stepped up, but the market hasn't noticed it. The question is whether you are there before the market does.



Jio Financial forays into insurance with Allianz Group JV

Jio Financial has formed a 50:50 joint venture with Germany's Allianz Group to enter India's general and health insurance markets, combining digital distribution with underwriting expertise. They are also in talks for a separate life insurance venture. This move is set to advance Jio's financial services platform.

Bajaj Auto announces a ₹5,633 crore share buyback

Bajaj Auto has announced its largest-ever share buyback worth ₹5,633 crore at ₹12,000 per share. The offer price was 16 per cent higher than its May 5 closing price of ₹10,319. The buyback reflects the company's strong cash generation and balance sheet, supported by steady export volumes and domestic two-wheeler market share, while giving shareholders an exit at a premium.

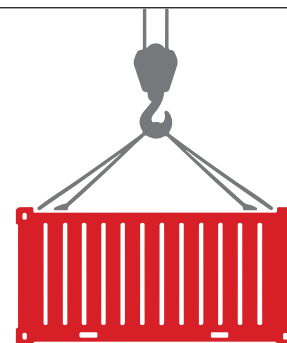
MCX gets SEBI nod to set up coal exchange

Multi Commodity Exchange of India has received SEBI's approval to set up a wholly-owned subsidiary, MCX Coal Exchange, marking its move into organised coal trading. The platform aims to bring transparent price discovery, counterparty guarantees and regulatory oversight to a market still dominated by bilateral contracts and uneven pricing. Having a separate venture will keep it ring-fenced from MCX's existing regulations.



L&T bags largest-ever domestic metals order from JSW Steel

Larsen and Toubro's Minerals and Metals business has won its largest domestic metals order from JSW Steel. L&T classifies it as a mega order, worth ₹10,000-₹15,000 crore. The contract will help JSW Steel expand its annual capacity from 35 million tonnes to over 50 million tonnes by 2031 and covers key facilities, including blast furnaces and steel melt shops, mainly at Ballari and Paradip.



India, New Zealand FTA gives exporters duty-free access

India and New Zealand have signed a free trade agreement, giving Indian exporters duty-free access to all product categories in the New Zealand market. Textiles, pharma, processed food and engineering goods are expected to benefit. India, in return, will cut tariffs on about 70 per cent of product categories covering nearly 95 per cent of bilateral trade, while shielding sensitive areas such as dairy, sugar and edible oils.

Life insurers cross ₹4 lakh crore in new premiums

India's life insurance industry collected new business premium of nearly ₹4.59 lakh crore in FY26, up 16 per cent, crossing the ₹4 lakh crore mark for the first time. The growth was helped by steady retail demand, wider agency and bancassurance reach, and deeper penetration in smaller cities. Private insurers continued to gain share, though LIC remained the largest contributor by premium volume.





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Paytm Payments Bank to shut shop as RBI cancels licence

Paytm Payments Bank will be wound up, as the Reserve Bank of India has cancelled its banking licence due to repeated regulatory non-compliance and governance concerns. The RBI said the bank's affairs were conducted in a manner detrimental to depositors and will seek High Court approval for winding-up proceedings. The action follows restrictions imposed in January 2024, when the bank was barred from accepting new deposits and from onboarding new customers.



Eicher Motors to invest ₹2,200 crore for new plant in Andhra Pradesh

Eicher will invest ₹2,200 crore to build a Royal Enfield production facility and vendor park at Satyavedu, Andhra Pradesh, its first major expansion outside Tamil Nadu. Developed in two phases, it adds nearly nine lakh units of annual capacity, easing supply gaps for 350cc and 450cc models while supporting exports.



Bajaj group to enter healthcare with ₹2,500 crore Pune project

The Bajaj group is entering healthcare through a new entity, Bajaj Integrated Health Systems, with an initial investment of ₹2,000 to 2,500 crore in Pune over three years. The venture will cover clinics, ambulatory services, home care and a hospital, rather than focus only on bed count. A 450-plus bed hospital is planned, while the first clinics and ambulatory centres may launch within six months.

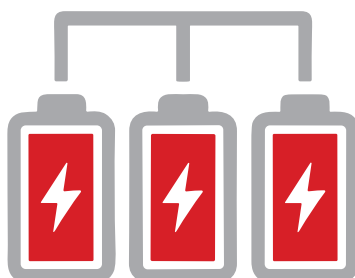
Zydu Lifesciences to buy Assertio in branded US pharma push

Zydu Lifesciences will acquire US-based Assertio Holdings for about ₹1,570 crore in an all-cash deal. Assertio sells branded prescription drugs in specialty and oncology supportive care, including Rolvedon, a long-acting biologic used in chemotherapy patients. The deal gives Zydu a commercial platform in US specialty oncology and supports its move beyond generics into higher-margin branded businesses. The transaction is expected to close in FY27.



Adani Green plans ₹15,000 crore battery storage push

Adani Green Energy plans to invest about ₹15,000 crore in FY27 to commission over 10 GWh of battery storage capacity, up sharply from 1.4 GWh added in FY26. The systems will sit alongside solar projects at Khavda in Gujarat and supply power during evening peak demand. About 75 per cent of the capacity is backed by 25-year fixed-tariff power purchase agreements. It targets 50 GW by FY30.

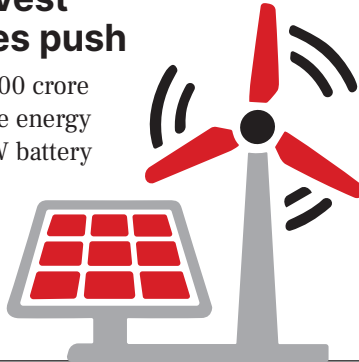


Coal India lines up ₹1 lakh crore capex by FY31

Coal India plans to spend ₹1 lakh crore over five years to FY31, with annual capex of ₹18,000 to 25,000 crore across mining infrastructure, first-mile connectivity, coal gasification, thermal power and clean energy. A large share will go into conveyor systems, silos and mechanised rail-loading to move coal faster from mines. Key projects include coal gasification in Odisha and a 1,600 MW thermal power venture.

Bondada Engineering to invest ₹10,000 crore in renewables push

Bondada Engineering plans to invest ₹10,000 crore over four years to build 25 GW of renewable energy capacity, comprising 16 GW solar and 9 GW battery storage, while entering data centres and defence manufacturing by 2030. Around ₹2,000 crore is earmarked for defence. It now has 7.8 GW under execution and an order book of ₹7,147 crore.



India's private capex jumps 67 per cent in FY26 Sept quarter

India's private sector capex rose 67 per cent year-on-year to ₹7.7 lakh crore in the September 2025 quarter, according to CII's latest study of nearly 1,200 companies. Manufacturing led with ₹3.8 lakh crore, followed by services at ₹3.1 lakh crore. Higher capacity utilisation, stronger order books and faster bank credit growth also pointed to a broader revival in the investment cycle.

Govt bans sugar exports till Sept

The government has banned sugar exports until September 30, 2026 to protect domestic supply and prices amid risks from higher fuel costs, possible fertiliser shortages and monsoon uncertainty. This also factors in possible disruption to sugarcane output in key states such as Maharashtra and Uttar Pradesh. Exports under existing government-to-government deals and EU and US quota arrangements will continue through established procedures.



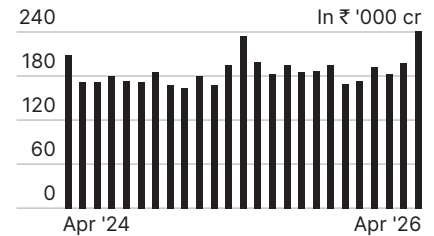
Sun Pharmaceutical to buy US-based Organon for ₹1.1 lakh crore

Sun Pharma will acquire US-based Organon & Co for ₹1.1 lakh crore, the largest overseas buyout by an Indian pharma company, lifting total revenue to ₹1.2 lakh crore. Organon's portfolio covers women's health, biosimilars and branded medicines across 140-plus markets, expanding Sun Pharma's specialty presence beyond US generics.

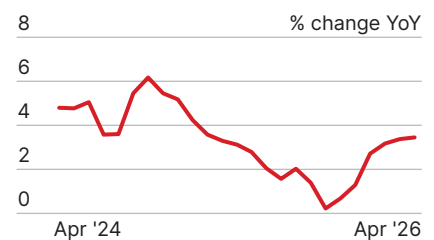


ECONOMIC METRICS

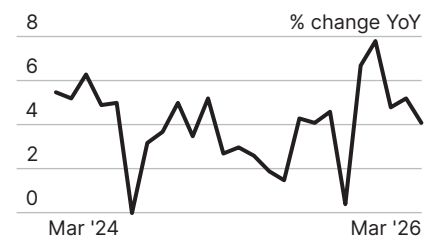
GST collection



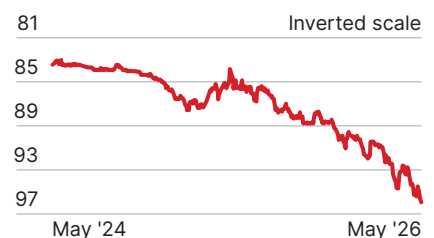
Inflation: Consumer Price



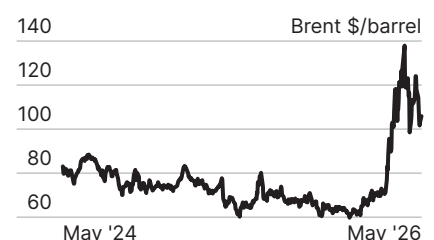
Index of Industrial Production



₹ vs \$



Crude oil



Where the money is made

A look at the pharma supply chain and the economics behind it

In Part 1, we covered why pharma demand is structurally resilient, how India built its global position over three decades and the vocabulary every investor needs: generics, branded generics, API, CDMO, NCE and biosimilars. We also mapped the four broad business models that Indian pharma companies operate under.

Part 2 follows the money. Every medicine you have ever taken travelled through a chain before it reached you. Raw chemicals became an active ingredient. That ingredient was turned into a tablet, injection or inhaler. The finished product moved through layers of trade before a chemist handed it across the counter. Each step in this chain is a distinct business with its own economics.

Understanding where a company sits in this chain is the most direct way to understand what it actually does. It also explains something that trips up many investors: why two companies in the same sector, both labelled pharma, can have completely different earnings patterns, risk profiles and competitive positions. A company that manufactures complex APIs for global innovator companies under long-term contracts is a

Starting materials

Everything begins with basic organic chemicals derived from petrochemicals or fermentation. India imports a large share of these from China, which dominates the global supply of key chemical building blocks.

This matters to investors. When Chinese factories shut down during the Covid pandemic, Indian manufacturers faced shortages almost immediately. The government has since pushed domestic production, but China remains the primary source for many inputs. A company's dependence here is a risk that rarely shows up in quarterly results but surfaces sharply when supply is disrupted.

API: The engine room

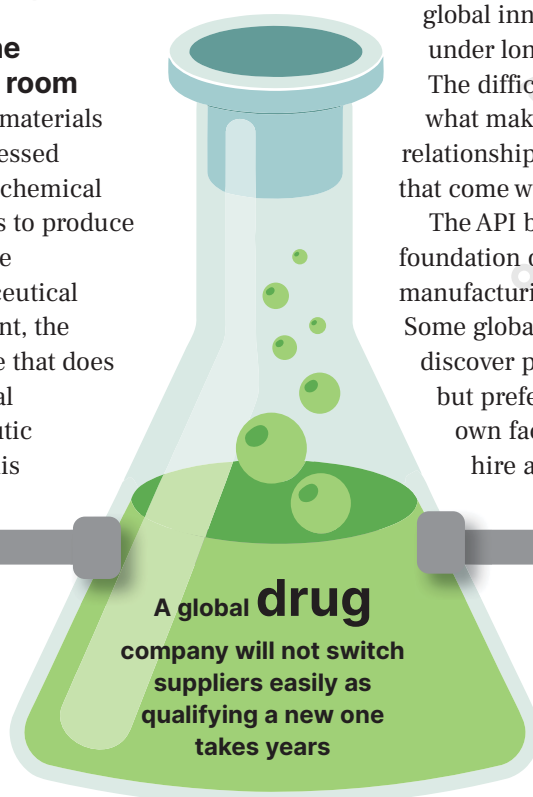
Starting materials are processed through chemical reactions to produce the Active Pharmaceutical Ingredient, the molecule that does the actual therapeutic work. This

step requires deep chemistry knowledge, precise process control, and large manufacturing facilities.

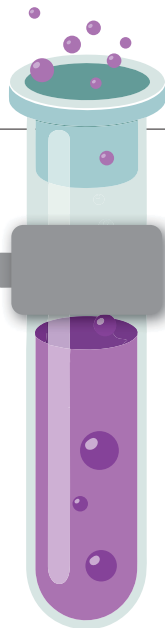
The economics here depend on what is being made. For standard molecules, many manufacturers compete globally. Margins are thin and there is no lasting advantage in making the same product as dozens of other factories.

Complex molecules work differently. When a molecule requires rare synthesis expertise or tightly controlled conditions, few manufacturers can produce it. A global drug company will not switch suppliers easily as qualifying a new one takes years and significant testing. Divi's Laboratories has built its business in exactly this space, supplying complex molecules to global innovator companies under long-term relationships. The difficulty of switching is what makes those relationships, and the margins that come with them, durable.

The API business is also the foundation of India's contract manufacturing opportunity. Some global pharma companies discover promising molecules but prefer not to build their own factories. Instead, they hire a Contract



fundamentally different business from one selling branded tablets to Indian patients through a field salesforce. The sector label is the same. The business is not.



Development and Manufacturing Organisation (CDMO) to handle the production on their behalf. The CDMO develops the manufacturing process, scales it up and supplies the finished product. It never owns the molecule. It earns a contracted fee.

This model suits India well. Revenue is fixed by contract rather than set by market competition, so earnings are more stable than in the generic business. And as global companies have moved to reduce their dependence on Chinese manufacturing, India has become their primary alternative. Syngene International and Piramal Pharma Solutions are the clearest beneficiaries of this shift in India.

Formulation: Turning an ingredient into a medicine

Formulation is where the API becomes the product that a patient actually takes. The active ingredient is combined with binding agents, fillers, and coatings and shaped into a tablet, capsule, injection, inhaler or topical cream.

Economics depends almost entirely on complexity. A standard oral tablet is well understood and easy to make. Dozens of companies can produce the same product, which keeps margins thin. A sterile injectable must be made in a controlled environment where a single contamination ruins an entire batch. A dry-powder inhaler requires precisely engineered devices where the drug particles must be a specific size to reach the lungs. The harder the product is to

make, the fewer competitors exist, and the better the economics. Cipla's respiratory inhalers, Sun Pharma's specialty medicines, and Gland Pharma's injectable business are all built around this principle.

The business models

Every medicine starts the same way: a scientist somewhere identifies a

molecule that might treat a disease. What happens next determines the economics of the entire industry.

Innovator companies: An innovator company, such as Pfizer, Novartis or AstraZeneca takes that molecule through years of development and clinical testing before it reaches patients. The process typically takes 10 to 15 years and costs several thousand crores. At each stage of testing, first in healthy volunteers, then in small patient groups, then in large trials, most candidates fail. Roughly 90 per cent of molecules that enter human trials never reach approval. The companies that succeed must recover the cost of all the failures that preceded success.

This is why patents exist. A company that develops a successful new drug receives an exclusive right to sell it for roughly 20 years from the date of filing. In practice, after years of development, the commercial exclusivity window is often 10 to 12 years. No competitor can enter during this period. The company prices the drug to recover its investment and earn substantial margins on a product that has no competition.

Few Indian companies have entered this space. The capital

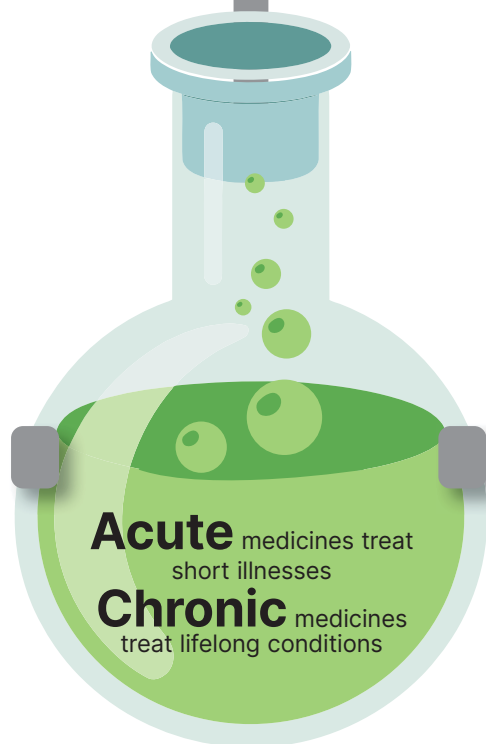
required, the failure rates, and the decade-long wait for returns have kept most away. Dr Reddy's, Zydus Lifesciences and Glenmark Pharmaceuticals have early-stage programmes, but no Indian company has yet produced a drug that generates meaningful global revenue from a new discovery.

Generic companies: When a patent expires, exclusivity ends and any company can make the same molecule. Competition enters quickly and prices fall. This is where the overwhelming majority of Indian pharma companies operate.

Branded generics (the Indian domestic model): In most developed markets, generic drugs are sold under the molecule's scientific name at low prices. India works differently. Here, companies sell off-patent molecules under proprietary brand names. Dr Reddy's sells the



20 years
A drug developer gets exclusive selling rights from the patent filing date.



cholesterol drug atorvastatin under the brand name 'Atorva'. Sun Pharma sells the same molecule as 'Atorlip'. Cipla sells it as 'Atocor'. Chemically identical products, different names, different prices, sold to the same doctors by competing sales teams.

The economics within this model are split by therapy area. Acute medicines treat short illnesses. A patient takes an antibiotic for a week and stops. Revenue from that patient is gone. Chronic medicines treat lifelong conditions such as diabetes, hypertension and thyroid disorders. The patient refills every month for years or decades. Revenue is steady and predictable regardless of season or sentiment.

A company that earns most of its domestic revenue from chronic medicines earns like a business with long-term contracts. One that earns mostly from acute medicines earns like a business dependent on

how many people fall ill each season. Torrent Pharmaceuticals and Abbott India have built their businesses in India on chronic therapies. When evaluating any domestic pharma company, the share of chronic revenue in the mix is the most telling indicator of earnings quality.

US generics: Indian companies also compete in the United States by filing applications with the US FDA to sell generic versions of drugs whose patents have expired. The economics here are driven by one event: the patent expiry.

The first company to receive FDA approval to sell a generic earns 180 days of market exclusivity. During this window, it is the only generic available, competing only against the original branded drug. Margins can be very high, often 60 to 70 per cent on the product. When that window closes, other generics flood in. Prices fall by 80 to 90 per cent within a year or two. A product earning ₹300 crore in its first year may earn ₹40 crore by year three.

This gives the US generics business a distinctive pattern: sharp peaks when new approvals are launched, and steady declines as competition builds. Dr Reddy's, Lupin and Aurobindo manage large pipelines of pending approvals specifically to keep new peaks arriving as old ones fade. A thin

pipeline means disappointing quarters. A cluster of approvals means an exceptional year. Investors who follow these companies need to watch the pipeline as closely as the current revenue.

MNC subsidiaries: Abbott India, Pfizer India and GSK Pharma India are Indian-listed companies owned by global multinationals. They operate only in the Indian formulation and brand business. They do not have US generic operations and carry no API exposure. Their parent companies absorb R&D costs and supply a ready portfolio of proven products, which lowers risk. The trade-off is that strategic decisions on products, pricing, and capital are made abroad. Growth is steadier than that of an Indian-promoter company, but also more limited.

The pharma supply chain is a series of distinct businesses, each with its own economics. API manufacturers compete on chemistry and complexity. Formulation companies compete on manufacturing capability. In the domestic market, branded generics reward companies with the deepest doctor relationships and the highest share of chronic revenue. In the US, the pipeline of pending approvals determines the next year's earnings. Where a company sits in this chain and how well it executes in that position determine everything. ☑

What's next?

In Part 3, we look at how the commercial machine actually runs: why the doctor is the real customer, what makes the MR network a moat and the regulatory risks that can stop these businesses

Understanding who sells what, to whom and how that sale is actually made, is the real difference between knowing a pharma company's products and truly knowing its business

Staying focused through the noise

Investors today are surrounded by a constant stream of market commentary, predictions and unsolicited tips. News channels, social media and messaging groups ensure that no market movement goes unanalysed. For many investors, the real challenge is not the market itself, but the **noise** around it.

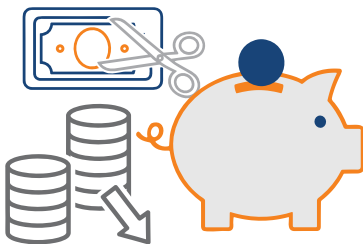


When information is constant, investment decisions can become reactive. Investors may feel compelled to act on every headline or opinion, even when their financial goals have not changed. A **structured** approach may help reduce this pressure.



Passive funds follow a defined index and do not require frequent adjustments based on market sentiment. By design, they continue to track the underlying market without **constant intervention**.

This does not silence the noise, but it may change how investors engage with it. Rather than reacting to each update, the focus may shift to staying invested through a consistent, rules-based **process**.



Another consideration is **cost**. Passive funds typically carry lower expense ratios than actively managed funds. Over time, keeping costs lower may support the overall investment experience.

Market commentary will always be present. For some investors, a **rules-based approach** may make it easier to stay invested without being pulled in different directions.

Staying focused through the noise
is as easy as...

ABCDEF
Investing in ETF is easy!

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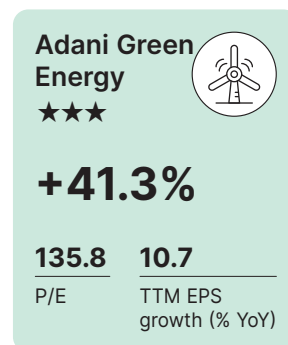
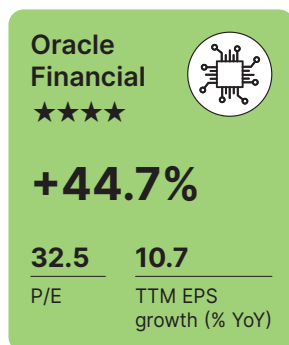
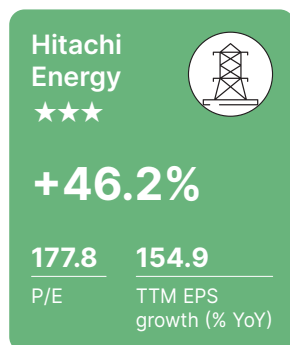
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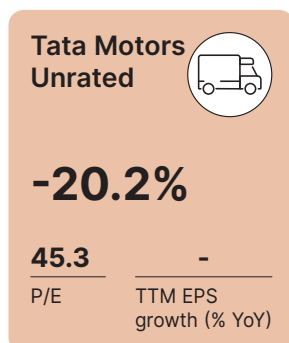
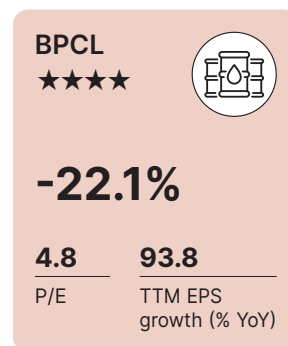
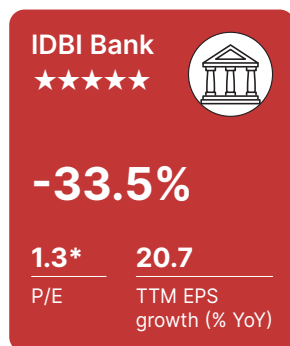
BIG MOVES

LARGE CAPS

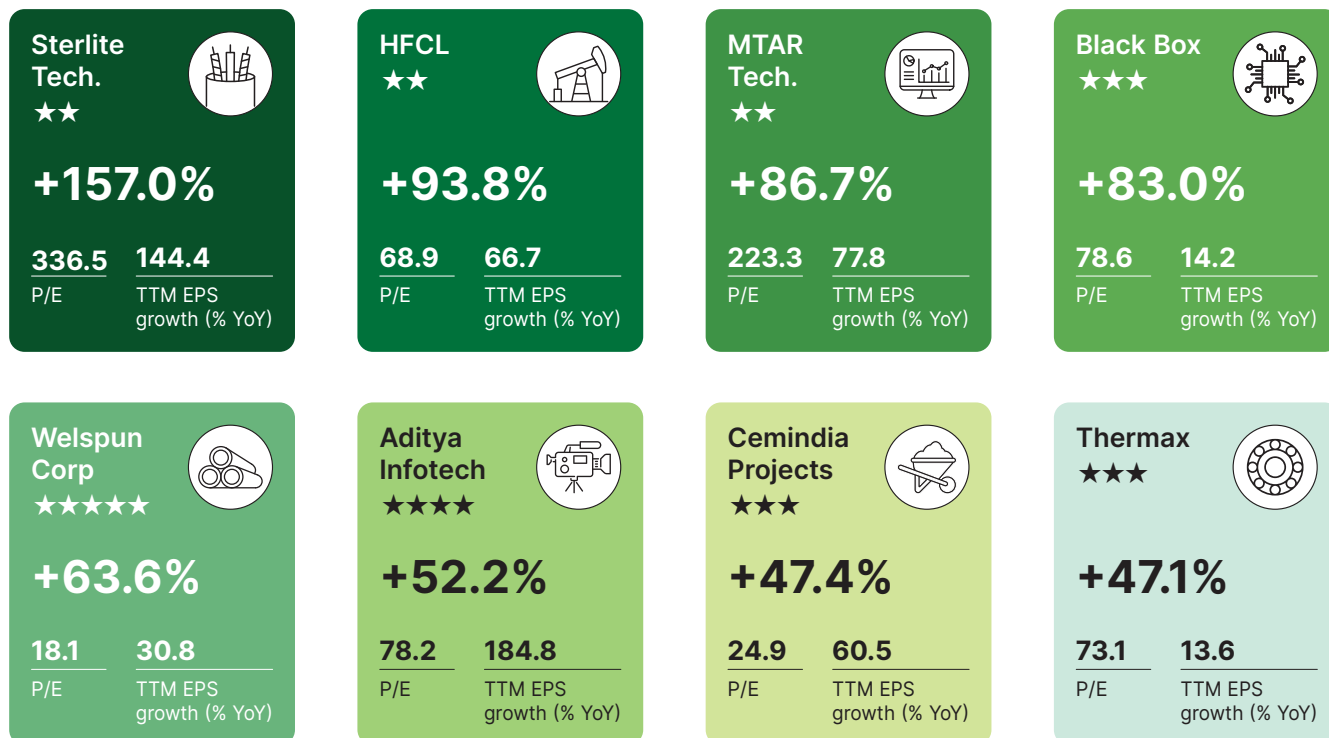
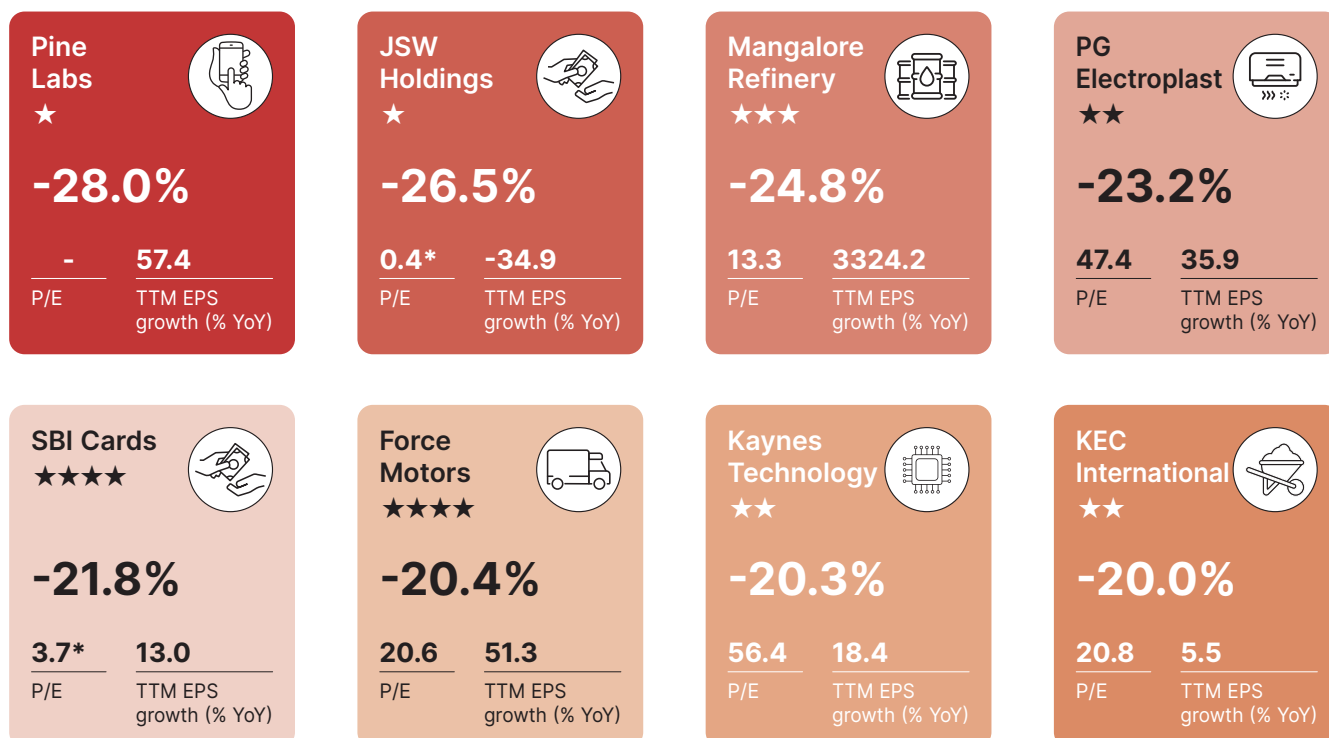
Top gainers



Top losers



*Price-to-book ratio. Our large-cap universe has 157 large companies, comprising the top 70 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Data as of May 19, 2026.

 Top gainers

 Top losers


*Price-to-book ratio. Our mid-cap universe has 329 mid-sized companies, comprising the next 20 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Data as of May 19, 2026.

BIG MOVES

SMALL CAPS

Top gainers

Modern Malleables 
Unrated

+497.2%

32.6 **7145.1**
P/E TTM EPS
growth (% YoY)

Mrugesh Trading 
Unrated

+192.5%

16.6* **-116.4**
P/E TTM EPS
growth (% YoY)

Dee Dev. 
★★

+116.5%

39.5 **192.9**
P/E TTM EPS
growth (% YoY)

Prizor Viztech 
Unrated

+115.6%

34.2 **-10.6**
P/E TTM EPS
growth (% YoY)

Confidence Petroleum 
★★★

+100.9%

25.3 **14.3**
P/E TTM EPS
growth (% YoY)

Elpro International 
★★★★★

+90.7%

31.8 **32.2**
P/E TTM EPS
growth (% YoY)

Hypersoft Tech. 
★★

+90.6%

310.5 **476.6**
P/E TTM EPS
growth (% YoY)

Vidya Wires 
★★

+89.9%

32.6 **57.5**
P/E TTM EPS
growth (% YoY)

Top losers

RM Drip 
Unrated

-72.8%

32.7 **166.9**
P/E TTM EPS
growth (% YoY)

Aqylon Nexus 
Unrated

-63.1%

252.5 **125.7**
P/E TTM EPS
growth (% YoY)

Elitecon International 
Unrated

-58.8%

16.3 **-98.2**
P/E TTM EPS
growth (% YoY)

Spice Lounge 
★★

-54.3%

11.1* **128.8**
P/E TTM EPS
growth (% YoY)

Blue Pearl 
★

-52.6%

22.6* **-99.8**
P/E TTM EPS
growth (% YoY)

Fino Payments 
★★★

-42.0%

1.3* **-43.3**
P/E TTM EPS
growth (% YoY)

One Global Service 
★★★★★

-41.4%

13.9 **97.2**
P/E TTM EPS
growth (% YoY)

Yatra Online 
★★

-39.2%

27.3 **99.9**
P/E TTM EPS
growth (% YoY)

*Price-to-book ratio. Our small-cap universe (minimum market capitalisation of ₹710 crore) has 1,189 small-cap companies, comprising the bottom 10 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Data as of May 19, 2026.

☑ Value Research

Wealth Insight

The Blue Chips of Tomorrow

Finding long-term winners
while they're still small

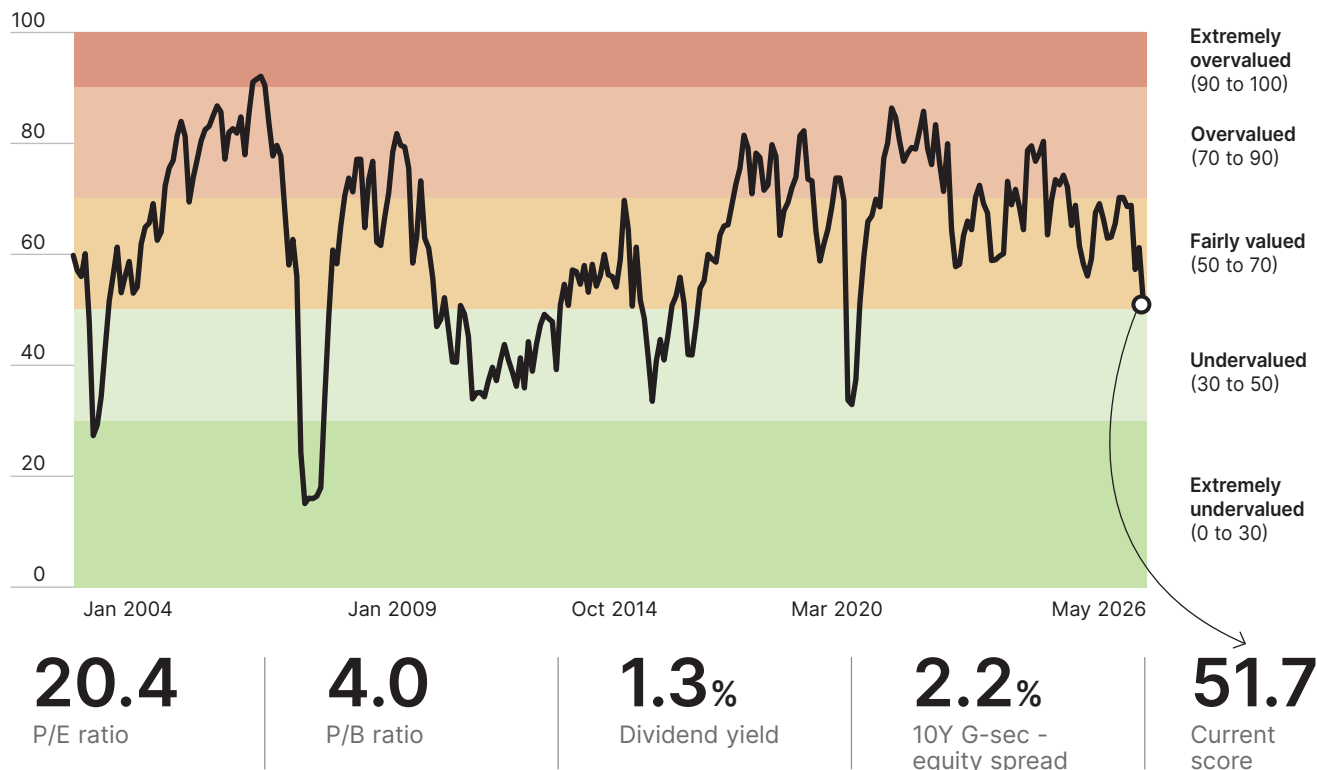


ANNIVERSARY ISSUE • JULY 2026

Temperature check

A clear-eyed look at where the Indian equity market stands today

How market valuations have moved over the years



Valuation across key market phases

Date	Sensex	Score	Zone
Jun '04	4,795	27.4	●
Apr '06	12,043	83.9	●
Dec '07	20,287	92.0	●
Nov '08	9,093	15.2	●
Feb '12	17,753	50.8	●
Feb '14	21,120	39.3	●
Jul '15	28,115	69.7	●
Jan '18	35,965	81.4	●
Apr '20	33,718	33.0	●
Mar '21	49,509	84.6	●
Jul '23	64,719	60.1	●
Sep '24	84,300	74.2	●

All data as of May 17, 2026

Our framework

To assess whether the market is currently cheap, fairly valued or expensive, we draw on four valuation metrics tracked monthly: the Sensex P/E ratio, P/B ratio, dividend yield and the bond-equity spread. The spread is the difference between the 10-year government bond yield and the Sensex earnings yield (inverse of P/E).

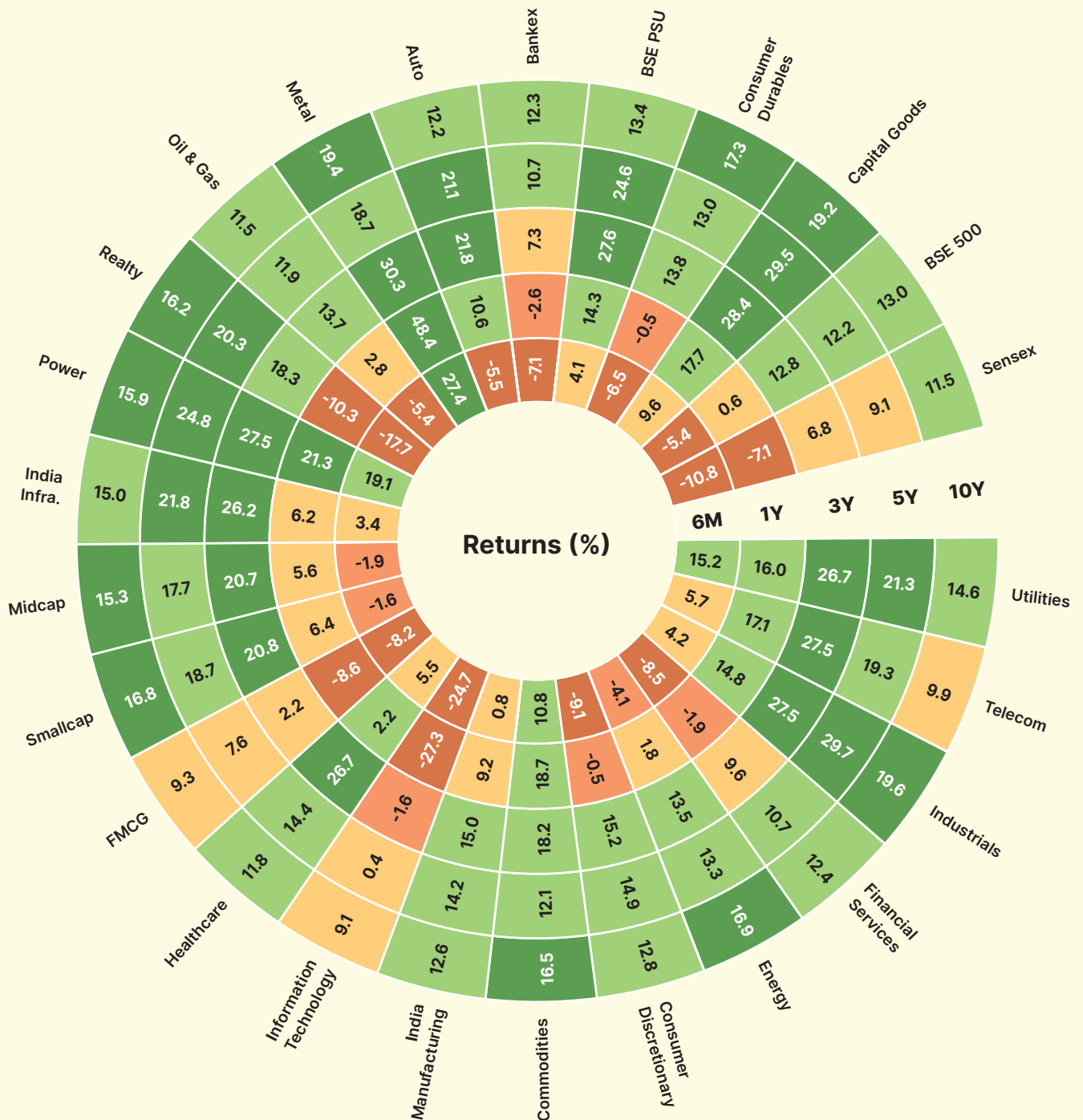
We have maintained a historical record of all four metrics since April 1998. Each month, we take the current reading of each metric and count how many past monthly readings were lower than it.

Dividing that count by the total number of past months gives a percentile rank between 0 and 100. A rank of 70 means today's reading is higher than 70 per cent of all past readings, indicating the metric is relatively expensive. A rank of 30 means it is cheaper than most of history.

Since a higher dividend yield signals cheaper valuations rather than costlier ones, its percentile rank is subtracted from 100 to align it with the other three metrics. The four percentile ranks are then averaged equally to produce the final score. [🔗](#)

Sector snapshot

Short-term returns are firmly negative for most sectors, but the three- and five-year lens reveals where the real wealth has been built



Data as of May 14, 2026 for major BSE indices. Returns for over a year have been annualised.

Pricing uncertainty

How Buffett adapted Graham's special-situations framework and what it teaches ordinary investors

Investors often treat market falls as buying opportunities. But that is only half a thought. The more important question is: What exactly has changed, what is the market pricing in and what happens if our judgement is wrong?

Sanjay Bakshi, adjunct professor of finance at FLAME University and managing partner at ValueQuest Capital, addressed this directly in a CFA Society India session on Benjamin Graham's special-situation framework, where returns depend not on the market's mood but on a specific, identifiable event such as a merger, a liquidation or a corporate restructuring.

Bakshi used Warren Buffett's investing decisions to show how special situations teach investors to think clearly when an outcome depends on a specific event. He showed how Buffett started out buying deeply undervalued stocks and profiting from corporate events but carried those same habits into his later years when he moved to buying great businesses at fair prices: identify the event, weigh the odds, study the downside and insist on a favourable price. We have summarised Bakshi's key insights below. For the full discussion, scan the QR code at the end of this section.

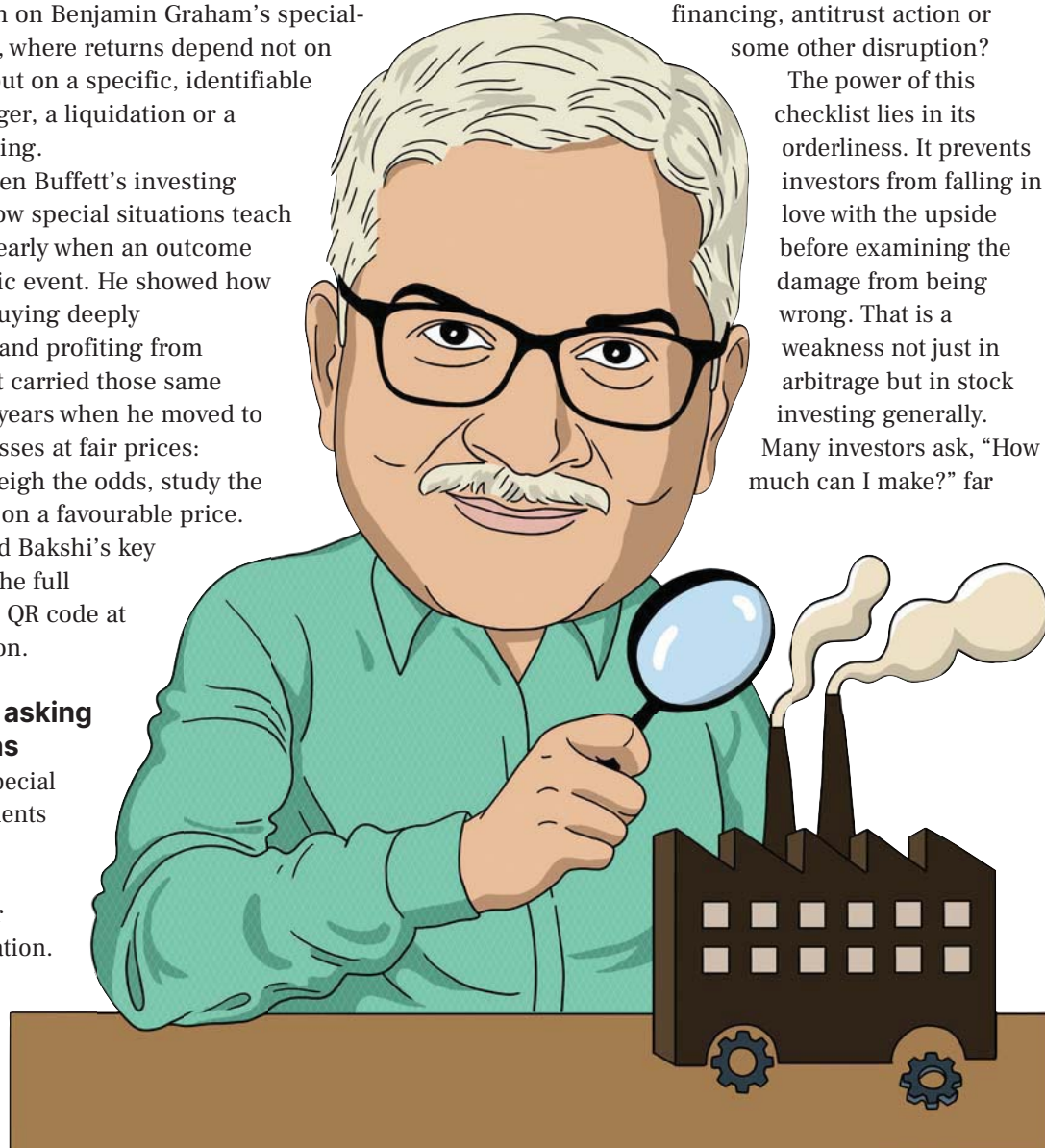
The discipline of asking sharper questions

Graham described special situations as investments driven by 'specific measurable developments' rather than general anticipation. In ordinary investing, one often depends on the market eventually recognising value.

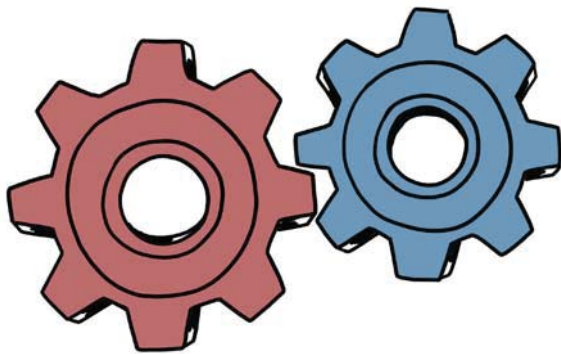
In special situations, the investor is focused on a defined event: a merger, tender offer, liquidation, recapitalisation, spin-off or similar corporate action.

Bakshi used this as the bridge to Buffett. Buffett's risk-arbitrage questions were simple but demanding: Is the event likely to occur, how long will capital be locked in, could a better outcome emerge and what happens if the deal collapses due to financing, antitrust action or some other disruption?

The power of this checklist lies in its orderliness. It prevents investors from falling in love with the upside before examining the damage from being wrong. That is a weakness not just in arbitrage but in stock investing generally. Many investors ask, "How much can I make?" far



illustrations: Anand Kumar



more quickly than they ask, “How much can I lose, and can I survive that loss?”

Bakshi’s point was that special situations train the mind to think in consequences. A deal may look certain, but shareholder approval can fail. A merger may look logical, but a regulator can block it. A tender offer may look attractive, but financing can become uncertain. The investor’s job is not to remove uncertainty. It is to price it.

This habit is equally useful outside arbitrage. A cheap stock may be cheap for a reason. A good company may be facing a temporary shock or a permanent impairment. A management may sound confident, but the balance sheet may not have the strength to withstand stress.

That is why special-situation thinking is valuable. It forces the investor to replace vague conviction with a more useful sequence: What is the event, what must go right, what can go wrong, what is already in the price, and what is the cost of waiting?

Why good bets don’t always need the upside to work

The most memorable Buffett example in Bakshi’s session was Arcata Corporation. Arcata owned redwood forest land that had been acquired by the US government. The company had received compensation, but it believed the amount was inadequate. It also challenged the interest terms, arguing that the rate was too low and that the calculation should involve compound interest rather than simple interest.

So Arcata had two sources of value. One was the company itself. The other was a contingent claim against the government. Then KKR made an offer for Arcata. But there was a practical problem. How should KKR value the legal claim? Arcata would naturally argue that the claim was worth a lot. KKR would naturally refuse to pay fully for something that had not

yet been realised. The solution was a creative structure: KKR would give Arcata shareholders cash upfront and they could retain a share of any additional compensation recovered later.

For Buffett, this created an attractive asymmetry. As Bakshi explained, Buffett did not need to know exactly what the Redwood claim would be worth. It could be worth nothing, or it could be worth a great deal. The crucial point was that he was buying Arcata at a price where the cash payout itself made sense, while the legal claim came almost as an extra.

Bakshi captured the essence of this idea beautifully when he described value investing as ‘collecting lottery tickets for which you don’t pay anything’. That line is worth pausing on. Investors usually pay dearly for exciting possibilities. They pay high multiples for future growth, future disruption, future market share or future optionality. Arcata represented the opposite. The base deal was attractive and the uncertain future upside came cheap.

The transaction was not smooth. There were delays. Financing concerns appeared. KKR revised the offer. The stock reacted. Many arbitrageurs became nervous because the expected timetable changed. Buffett, however, stayed focused on the economics of the situation. When the facts still supported the thesis, volatility became less a threat and more an opportunity.

Years later, the contingent claim paid off handsomely. But the broader lesson is not that every legal claim or hidden asset will deliver. The lesson is that some of the best investments offer protection in the base case and optionality in the upside case.



WORDS WORTH WISDOM

Bakshi connected this to conventional equity investing through the phrase 'growth for free'. A strong business bought at a price that assumes little future growth can sometimes offer the same kind of hidden optionality. The investor pays for the present business and receives the future runway at a discount.

That is not an invitation to buy every low-valuation stock. Many are cheap because the business is deteriorating. The real opportunity arises when the downside is anchored and the upside is not being priced.

When a great business faces a solvable crisis

The third and perhaps most useful Buffett lesson came from Bakshi's discussion of American Express and Wells Fargo.

American Express was hit by the salad oil scandal in the 1960s. A fraudster had borrowed money from the company against warehouse receipts supposedly backed by valuable salad oil. In reality, the tanks largely contained seawater. When the fraud collapsed, American Express faced both financial losses and reputational damage.

Most investors saw scandal and uncertainty. Buffett asked a more specific question: was the core franchise permanently damaged? That distinction is vital. A temporary financial hit can be painful. A destroyed franchise is far worse. Buffett studied whether customers still trusted American Express travellers' cheques, whether merchants continued to accept them, and whether there was a run on the company. The evidence suggested that the brand and customer behaviour remained intact. So the market was pricing panic, while Buffett was evaluating survivability.

Bakshi used this to show how special-situation thinking migrates into long-term investing. You are no longer dealing with a merger spread or a tender offer. You are dealing with a business under stress. But the mental process remains similar. What is the problem? Is



it temporary or permanent? Does the company have the balance sheet, brand and earnings power to get through it? Is the market overestimating the damage?

Another example is Wells Fargo. Buffett did not merely buy because the stock was down. He studied the loan book, earnings power, credit history, capital strength and past performance through difficult cycles. He looked at what could go wrong and whether the institution could absorb it.

Bakshi also quoted Buffett's warning that 'credit is like oxygen'. When it is available, nobody notices it. When it disappears, nothing else matters. This is especially important in financial businesses. A bank, lender or leveraged company can look cheap on reported earnings but if funding dries up or credit losses spiral, the downside can be severe.

That is why Buffett's courage was not reckless. It was researched courage. He was willing to buy fear, but only after separating a solvable crisis from a fatal one. For investors, this may be the most practical lesson. A falling stock is not automatically an opportunity. It becomes one only when the market's fear outweighs the business reality. ☑

Watch video



Your takeaway

- Special situations teach investors to be precise: define the bet, examine the downside and avoid oversized confidence.
- Look for unpaid optionality (Arcata's lesson) and distinguish scandal from franchise damage (American Express's lesson).
- Always stress-test financial strength before buying into fear (Wells Fargo's lesson).
- Don't buy merely because something has fallen, ask why it has fallen.
- Don't buy merely because a business is good, ask whether the current problem is survivable.
- Don't focus only on what can go right, ask what happens if you are wrong.
- The ultimate habit: think in events, price uncertainty and ensure the odds are in your favour before acting.

Why PSBs still offer value

PSU banks are valued less than their private peers. Here's why that should change.



Sakshi/AI-generated image

Public sector banks (PSBs) have had a strong run. In the last three years, the Nifty PSU Bank index has doubled as investors rediscovered them after years of neglect, helped by cleaner balance sheets and stronger profits. However, even after this rally, they continue to trade at a discount to private banks.

The top 10 private banks trade at a median P/E of about 17.6 times. The 12 public sector banks trade at about eight times. On price-to-book, private banks are at 1.6 times, while PSBs are close to 1 times. That discount was defensible a few years ago. PSBs were still carrying the scars of

a long, bad-loan crisis. And investors, owing to the old memory, distrusted their lending discipline.

But that old story now needs a second look. PSBs have repaired much of the damage. Their asset quality has improved sharply. NPAs are now broadly comparable to those of private banks. Profits have recovered, and sectoral concentration has diluted. So if the operating gap has narrowed, is the valuation gap justified?

A different diagnosis of the old crisis

The usual story is that PSBs lent badly and private banks were better run. There is truth in that. But it is not the full story.

A paper from the Centre for Social and Economic Progress, a think tank, on the 2010s NPA crisis shows that the banking system's gross NPA rose from 2.5 per cent in FY11 to 11.2 per cent in FY18. PSBs were hit much harder. Their gross NPA shot up to 14.6 per cent, while private banks reached only 4.7 per cent.

The damage was severe. But the causes were broader than mere careless lending. Commodity prices crashed. Regulatory

constraints delayed stress recognition. Public-private partnership projects, especially in power and roads, ran into trouble. And with development finance institutions fading and India's bond market still shallow, state-run banks became the main financiers of long-gestation infrastructure projects. This does not absolve PSBs. But it gives the crisis a useful context. They were not merely sloppy lenders making random mistakes. They became the main financiers of a risky investment cycle that later broke down.

The paper makes another important point: PSBs were not necessarily worse at initial screening. The weakness showed up later. PSB-backed borrowers became more leveraged and less profitable after lending. The paper claims that, before lending, PSB-backed borrowers had debt-to-equity ratios roughly twice as low as those of private bank borrowers. That reached three times after lending, while it was nearly 0.5 times for private bank borrowers.

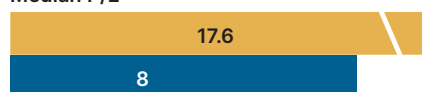
In simple terms, PSBs were poor at monitoring loans after disbursal, recognising stress early and cutting exposure before trouble

A discount with a memory

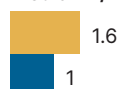
PSBs have recovered but private banks still get the premium

● Private banks ● Public sector banks

Median P/E



Median P/B



As of April 30, 2026

deepened. That is the right lesson from the crisis. The issue was whether PSBs could manage risk after lending. So today, the right yardstick to judge them on is: Have those risks reduced enough for the valuation discount to narrow?

The clean-up is visible

The improvement in bad loans is now hard to ignore. According to CareEdge, PSBs had gross NPAs of 2.1 per cent, against 1.6 per cent for private banks in the December quarter of FY26. On net NPAs, PSBs were at 0.4 per cent, slightly better than private banks' 0.5 per cent. This is the most important change in the story. PSBs are no longer sitting on the kind of asset-quality gap that once justified a massive valuation gap. Of course, the clean-up has not been painless. Most of it has come from write-offs, rather than recoveries. That is not perfect, but it is still repairable. The next test is whether they can keep future growth cleaner.

The old concentration risk has reduced

The last crisis was also a concentration problem. The RBI's Financial Stability Report noted that five stressed sectors, mining, iron and steel, textiles, infrastructure and aviation, accounted for 29 per cent of PSB advances in December 2014. For private banks, the figure was 13.9 per cent. That was the heart of the problem. PSBs were heavily exposed to a few pockets carrying the most stress.

That has changed. For the five largest state-run banks by market cap, combined exposure to infrastructure, iron and steel, and textiles has fallen to 12-14 per cent

A narrow gap, not a chasm

Once far worse, PSBs now close in on private banks on key stress metrics

Metric	PSBs (%)	Private banks (%)	Read it as
GNPA ratio, FY18	14.6 	4.7 	The old gap was huge
GNPA ratio, Q3 FY26	2.1 	1.6 	Now much closer
Provis. coverage, Q3 FY26	80.8 	71 	Stronger buffers for PSBs
Ann. credit cost, Q3 FY26	0.29 	0.52 	PSBs have lower stress

Source: CareEdge's Q3 FY26 note. Comparison uses 14 PSBs and 16 private banks.

from 20-34 per cent in FY15. This does not mean risk has vanished. PSBs remain important infrastructure lenders, and infrastructure lending can still go wrong if underwriting weakens. But their balance sheets are less concentrated than they were during the old NPA cycle.

That matters for valuation. A bank with cleaned-up books and lower concentration risk deserves to be judged differently from one entering a credit cycle with

stressed assets and heavy exposure to troubled sectors.

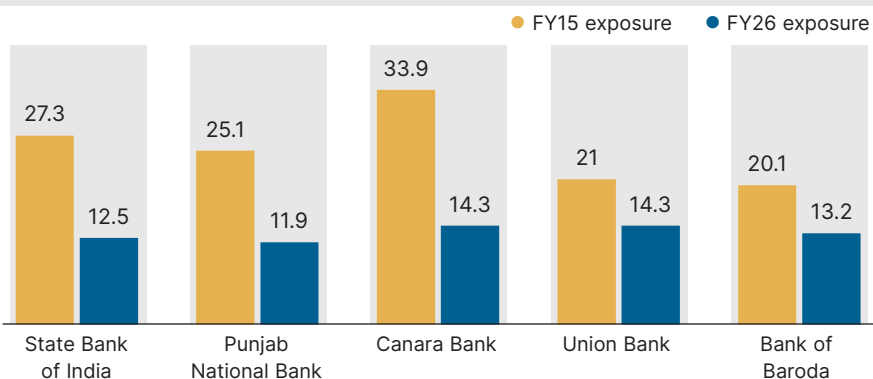
Profitability and loan market share take lead

A clean balance sheet matters only if it can produce steady returns. Here too, PSBs have improved. In the four years from FY22 to FY26, PSB profits grew at about 32 per cent annually, faster than private banks' 20 per cent. The median return on assets (ROA), a crucial metric for operational



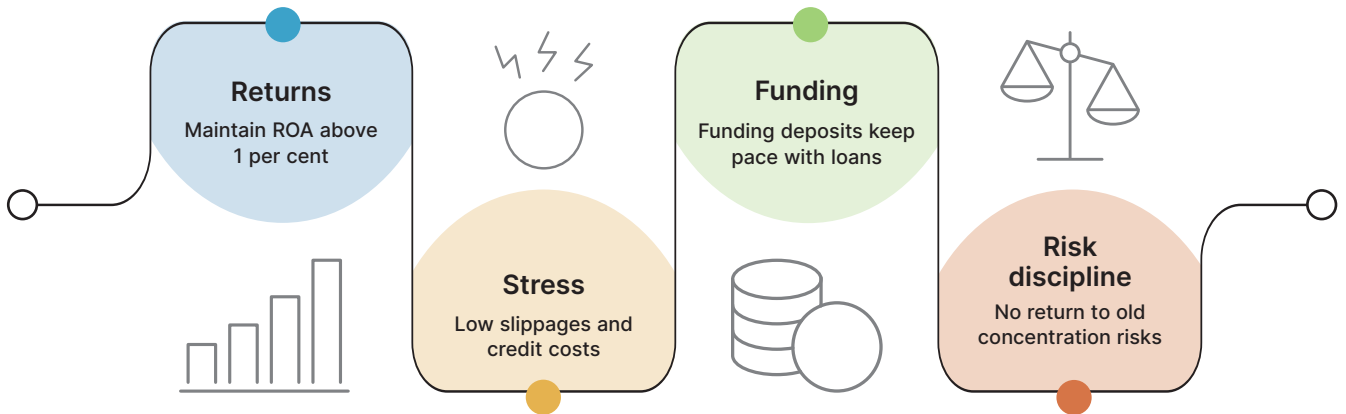
Less of the old trouble

Largest PSU bank exposure to infra, iron and steel, and textiles has fallen sharply since FY15



Combined exposure as a percentage of net advances. Banks are the top five PSBs by market capitalisation.

What PSBs must prove now



efficiency, has improved from 0.4 per cent to 1.1 per cent. Private banks are ahead at 1.2 per cent, owing to higher-yield loans, but the gap is not dramatic.

Some of this came from a low base and some from recoveries and treasury gains. But even after allowing for these factors, the direction is clear: PSBs have moved from repair mode to profit mode. Their market share reflects this further. It is now stabilising after years of decline. During the December quarter, PSBs' loan-market share inched up to 54.4 per cent from 53.8 per cent a year ago. Private banks' share slipped to 40.6 per cent from 41.07 per cent a year earlier. This is not a dramatic reversal. But it is a change in direction. PSBs are no longer simply losing ground every year.

Private banks grow stronger

Growth by itself is not enough. If PSBs grow by chasing weak loans, the old story will repeat. If they grow through better-rated corporate borrowers, secured retail and disciplined underwriting, the recovery becomes more credible. Private banks still have clear

advantages. Their Q3 FY26 net interest margin was 3.56 per cent, against 2.54 per cent for PSBs. They also have stronger fee engines (non-interest revenue from service, maintenance charges, etc), better cross-selling and in many cases better customer franchises. So this is not a claim that PSBs have become superior businesses. They have not. The better private banks still deserve a premium. But the larger point is that PSBs may no longer deserve such a discount gap.

Deposits are the next test

Deposits are now a pressure point for the entire banking system. CareEdge notes that credit growth continued to outpace deposit growth in the December quarter, pushing the credit-to-deposit ratio to an all-time high of 81.7 per cent. CASA ratios (share of costlier current accounts to low-priced savings accounts) are also under pressure. PSBs and private banks were both at 35.9 per cent in the quarter. A healthy level is 40 to 45 per cent.

This weakens one popular argument in favour of PSBs: that their branch reach automatically gives them a funding advantage.

Reach helps, but it does not guarantee cheap deposits. Public banks have an edge over private peers by scale, rural presence and government-linked relationships. But whether they can turn that reach into stable, low-cost deposits without overpaying is the real test. If they cannot, margins will remain under pressure.

What investors should watch

The case for PSBs is not that every public sector bank deserves a re-rating. Many do not. A low P/B multiple is useful only if the bank can sustain decent return on assets through the cycle. Otherwise, the stock is cheap for a reason. The better PSBs will be those that can sustain return on assets above 1 per cent, keep credit costs low, grow deposits sensibly, avoid excessive concentration and improve fee income without taking reckless retail or MSME risk.

That is where investors need to be selective. The sector offers value but not evenly. Banks with weak underwriting, poor deposit growth or aggressive loan expansion can quickly destroy the case. ☒

By Satyajit Sen

Built for bad weather

The microfinance cycle is turning. Arman Financial is better placed than most to benefit.

Aprajita Anushree/AI-generated image

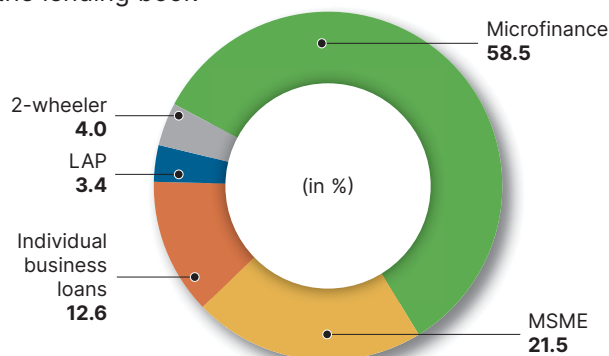
India's microfinance sector has been brought to its knees on multiple occasions. An overnight government ordinance in Andhra Pradesh wiped out one-third of the industry in 2010. Demonetisation in 2016 left rural borrowers with no valid currency to repay. The IL&FS funding freeze in 2018 shut lending windows across the sector. Covid made collections impossible. The over-leveraging crisis of 2023-25 pushed industry NPAs to a record high. Each time, obituaries were written. Yet each time, the sector recovered.

Through each of these crises, one small microfinance company from Ahmedabad held its

ground. It never raised capital under duress, never provisioned late and never had a governance scandal, things that are commonplace in the industry when stress hits. That was Arman Financial Services, which lends to rural women through joint liability groups via its subsidiary 'Namra Finance', and to small business owners through MSME loans. Its clean record through repeated industry crises makes it the strongest candidate today to ride the sector's recovery. Here's why.

Who Arman lends to

Microfinance and small business loans dominate the lending book



LAP is loan against property. AUM mix as of the first nine months of FY26.

On the mend

To understand the recovery, it helps to revisit what went wrong. After Covid, lenders and borrowers were both euphoric. Microfinance lenders disbursed aggressively. Low-income borrowers took out loans from multiple lenders. Then, a severe heatwave in 2024 crushed agricultural incomes across UP and Bihar. Repayment failures followed and average industry gross NPAs rose to 7 to 8 per cent. Arman was not immune; profits compressed and bad loans spiked.

The rebound is now visible. According to the Microfinance Industry Network, the sector's self-regulatory body, the industry passed peak stress in February this year. Arman's gross NPAs were down at 3.4 per cent in Q3 FY26 from a peak of 4.1 per cent a year ago.

At Namra Finance, collection efficiency (repayments as a share of dues) has improved to

96.4 per cent in December 2025 from 94.3 per cent in August 2024. The share of microfinance loans that signal early stress, where borrowers are overdue for one to three months, fell to 1.6 per cent in December 2025 from a peak of 6.8 per cent in March 2025.

Strong capital buffer, higher room for loan growth

A bank or NBFC needs to maintain a minimum capital buffer of 15 per cent against the loans it gives out. To grow the loan book therefore, it has to increase shareholder equity. But a lender already sitting well above the minimum capital requirement has enough room to grow without raising fresh equity or diluting shareholder profits. It can simply borrow to fund its growth.

Namra Finance has a capital adequacy ratio of 52.3 per cent against the required 15 per cent. The parent sits at 38.3 per cent. This means they can easily grow their loan books by borrowing. Today, Arman borrows ₹1.4 for every ₹1 of its equity, which it said it can comfortably increase to ₹4.5 for every ₹1. That jump alone means the company can grow its loan book

The recovery math

Arman Financial's numbers are set to remain steady

	BEAR case	BASE case	BULL case
AUM growth (two-year, % pa)	10	20	25
Expected return (%)	23.8	64.6	149.4
Exit P/B	2.0	2.5	3.5
AUM (₹ cr)	2,761	3,007	3,553
ROA (%)	2.0	3.0	4.0
PAT (₹ cr)	105	169	256
Book value (₹ cr)	997	1,061	1,148
Implied mcap (₹ cr)	1,994	2,653	4,010

ROA is return on assets. PAT is profit after tax.

★★★★ Stock Rating

9/10 Quality Score

5/10 Growth Score

4/10 Valuation Score

7/10 Momentum Score

Data as of May 5, 2026

from ₹2,274 crore today to ₹4,000–5,000 crore without raising fresh equity.

Strong safeguards in place

In the last crisis, Arman did something unique. It restructured how Namra Finance approves and collects loans. Previously, the same field officer who disbursed a loan also collected it, giving disbursement-focused staff little incentive to flag repayment stress early. Arman has split the two functions. One team approves, another collects, making accountability clean.

Arman also enrolled its book under a government-backed credit guarantee scheme that reimburses 75 per cent of losses if borrowers default. Today, 82 per cent of Namra's portfolio sits under this protection.

The upside for growth and returns

Arman has grown its loan book at 20 to 25 per cent annually in good times (see table 'The recovery math'). It models three possibilities over the next two years: a bear case at 10 per cent loan book growth, a base case at 20 per cent and a bull case at 25 per cent. Each carries a different assumption on profitability and, critically, on how the market can re-rate the stock.

Today, Arman trades at 1.8 times book value. In healthy cycles, well-run microfinance lenders have traded at 3 to 4 times book value. So even in the bear case, with slow growth and only a modest re-rating to 2 times book value, the implied return is 23.8 per cent over two years. In the bull case, where growth returns to historical rates and the market re-rates to 3.5 times book, the implied return is a sharp 149 per cent. The stock could deliver meaningful returns over the next two years, provided that the cycle cooperates.

Risks to bear before investing

The thesis has two enemies. The first is another external shock before the recovery consolidates. The sector moves in phases. And if the high-growth phase never returns, the bullish case becomes untenable.

The second is regulatory risk. Microfinance borrowers are among India's most vulnerable. When distress is visible, governments act through loan waivers, collection restrictions and other interventions, which can be fatal for the sector.

That is the bargain investors must assess. Arman has the capital and discipline to benefit from a sector recovery. But in microfinance, the upside belongs only to those who can survive the next shock. ☒

By Abhinav Goel

The price of dominance

Clean Science's edge is real. Then why is its stock so cheap?



Vinayak Pathak/AI-generated image

Revenue has stalled for two years. The stock has fallen sharply from its post-listing highs. And yet, Clean Science and Technology remains the world's largest manufacturer of four speciality chemicals, runs margins that most Indian companies can only dream of and carries no debt whatsoever. The gap between what the business is and what the stock has done lately is what makes it interesting.

A certain kind of dominance

Clean Science makes chemicals that most people cannot name but quietly depend on. MEHQ goes into diapers and acrylic fibres as a stabiliser. BHA preserves food and animal feed. 4-MAP is a UV blocker used in sunscreens. Anisole finds its way into perfumes and pharmaceuticals. None of these is glamorous. All of them are critical. The company is the world's largest

manufacturer of each, by installed capacity. It holds about 55 per cent of global MEHQ capacity alone.

What built that position is not size or spending but process. Two of its four founders, Ashok Boob and Siddharth Sikchi, are alumni of the Institute of Chemical Technology in Mumbai. Together with Krishna Boob and Parth Maheshwari, they spent years developing catalytic manufacturing routes that nobody else had. The company makes Anisole using a vapour-phase process it invented; every other manufacturer in the world uses the older, messier liquid-phase route. Clean Science makes BHA and DCC without sulphur and 4-MAP without aluminium chloride. Each time, the cleaner process also turned out to be the cheaper one. Most of the Anisole it produces is consumed internally to make downstream products, giving the company raw-

material security that peers cannot easily replicate.

The financial result of all this is margins that have stayed over 35 per cent for years. The company is debt-free and has funded every expansion from its own cash. One number captures how real that cost advantage is: China, the world's largest speciality chemicals producer, is also Clean Science's single biggest market at about 22 per cent of sales. That an Indian manufacturer exports successfully into China at scale, rather than the other way around, says more about process superiority than any margin figure can.

A problem named China

The last two years have exposed a vulnerability that no amount of process innovation can fully solve: price competition from a country that produces chemicals at a scale India cannot match. Chinese manufacturers pushed hydroquinone prices to all-time lows. This matters because hydroquinone is an alternative raw material for making MEHQ using a conventional process. Cheaper

★★★

Stock Rating

8/10

Quality Score

6/10

Growth Score

5/10

Valuation Score

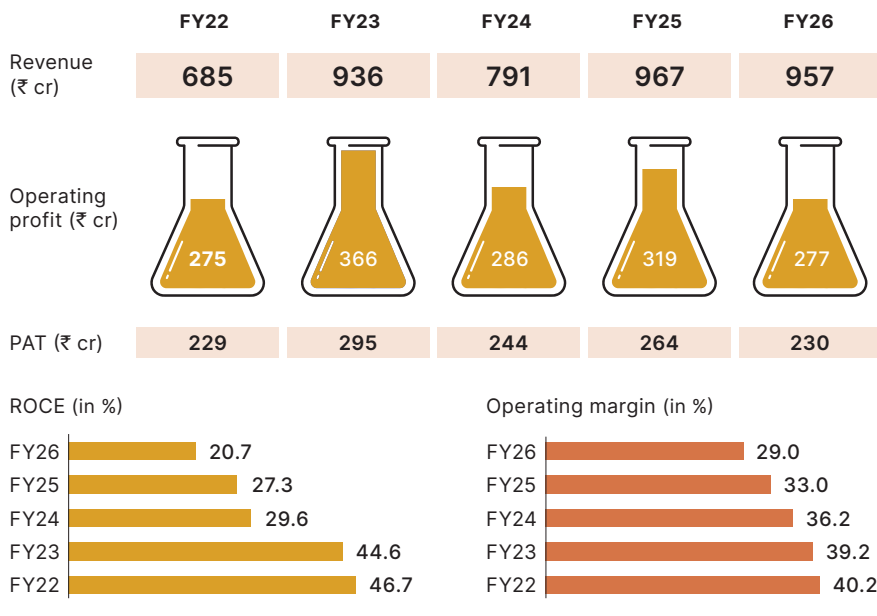
1/10

Momentum Score

Data as of May 18, 2026

Pause in the process

While revenue has stayed flat, profits have declined since FY23



hydroquinone meant Chinese producers could suddenly make MEHQ at a lower cost point than before. Clean Science had to cut its own prices to stay competitive. That is not a comfortable sentence for a company that sells its largest share of output to the same country.

The same pressure, in varying degrees, touched BHA and 4-MAP. North American customers turned cautious on tariff uncertainty and cut their orders. A Chinese buyer of 4-MAP backwards integrated and walked away permanently. Nine-month revenue in FY26 ran 10 per cent behind the year before. Revenue has essentially gone nowhere since FY23. There is a second problem, less visible but real. The subsidiary Clean Fino Chem was set up as a greenfield facility to house the HALS business and newer products. It has absorbed about ₹700 crore in capital. The fixed costs of running

an underutilised greenfield plant drag consolidated margins well below the cleaner standalone picture. The subsidiary reached EBITDA breakeven only in Q3 FY26. Until it operates at a meaningful scale, the gap between standalone and consolidated performance will persist.

The next molecule

The HALS business is the reason to pay attention to what comes next. Hindered Amine Light Stabilisers are UV stabilisers used in paints, plastics, coatings and water treatment.

The global market is worth about \$1 billion, dominated by European and Chinese producers. Clean Science is the first Indian manufacturer to crack this category. Volumes crossed 810 tonnes in Q3 FY26, up 55 per cent on the year before, and the mix is moving toward higher-margin variants. The subsidiary,

for all its near-term drag, is building something real.

Two other moves change the cost picture. The company commercialised hydroquinone and catechol in December 2025, a backward integration that immediately reduces raw material costs for TBHQ and Veratrole. Performance Chemical 1, a new molecule targeting a domestic market currently served entirely by imports, has a 10,000-tonne capacity and management has guided for about ₹300 crore in peak annual revenue by FY28. Performance Chemical 2 is due onstream in Q1 FY27. If both ramp up as planned, they add meaningful new legs to a business that badly needs them.

Worth watching, not quite worth rushing

The stock that once traded at over 60 times earnings has been repriced substantially. The price-to-earnings multiple now sits well below its five-year median. Some of that de-rating is deserved: revenue has stalled, the subsidiary is a drag, and China will not stop being China. But a company with dominant global positions, no debt, margins above 40 per cent, and proprietary processes built over two decades does not come cheaply very often. The current price is the closest it has been to reasonable since it listed.

Whether that is enough depends on one thing: whether new products, HALS, Performance Chemical 1, and Performance Chemical 2, can collectively replace the volume that pricing pressure has taken from the core business. The pipeline is credible. The timing is uncertain. For investors with patience, that is a reasonable trade. [📌](#)

By Udhayaprakash



Sakshi/AI-generated image

What the taxman gives back

Home buyers have more tax relief available than they realise. Here is a complete guide to claiming every rupee of it.

Buying a home is one of the largest financial commitments most people will ever make. What many buyers discover only later is that the government has built meaningful tax relief into the process: on the loan you take, the rent you earn, and eventually the property you sell.

One important caveat to keep in mind is that most of these deductions are available only under the old tax regime, which is no longer the default. For property buyers with a significant home loan, the old regime is often more beneficial precisely because the interest deduction under Section 24B can offset a large portion of taxable income. Calculate your liability under both before choosing.

When you buy with a home loan

The interest you pay on a home loan qualifies for a deduction of up to ₹2 lakh a year under Section 24B (old regime only), provided the property is self-occupied. If you have let out the property, there is no ceiling on the interest deduction; the entire amount can be set off against your rental income under either regime.

If you have purchased an under-construction property, the interest paid during construction cannot be claimed immediately. Once you receive possession, the total pre-construction interest is divided into five equal parts and claimed over five consecutive years, subject to the ₹2 lakh annual ceiling.



If both spouses have taken a joint home loan and are co-owners of the property, each can claim up to ₹2 lakh separately, giving the couple a combined deduction of ₹4 lakh. Joint borrowing alone is not sufficient; joint ownership is equally essential. A common mistake is to take a joint loan but register the property in only one name, which forfeits the second deduction entirely. The principal repayment portion of your EMI can also be claimed under Section 80C, up to ₹1.5 lakh a year (old regime only).

If you have rented out property

Rental income is taxable, but the law allows a flat 30 per cent standard deduction for maintenance and repairs before arriving at the taxable amount. If your annual rental income is ₹3 lakh, you are taxed only on ₹2.1 lakh. This deduction can be claimed regardless of what you actually spend on the property.

If your interest payments exceed your rental income, the shortfall is treated as a loss under the head 'income from house property'. Since Budget 2017, only ₹2 lakh of this loss can be set off against other income, such as salary, in a given year. The balance carries forward for up to eight years, but only against income from house property in those future years, not against salary or any other income head.

One more rule: if you have gifted a property to your spouse or a minor child, the rental income will be added to your own income and taxed in your hands.

For first-time buyers

Two sections offered additional interest deductions for first-time buyers: Section 80EE (old regime only) from Budget 2016, and Section 80EEA (old regime only) from Budget 2019. Both loan sanction windows have now closed, and no equivalent benefit exists for loans being taken today.

Section 80EE allowed an additional ₹50,000 deduction on home loan interest, over and above the ₹2 lakh under Section 24B, for loans sanctioned between April 1, 2016, and March 31, 2017, where the property value did not exceed ₹50 lakh and the loan did not exceed ₹35 lakh.

Section 80EEA offered a more generous ₹1.5 lakh additional deduction for first-time buyers of affordable housing. The property had to have a carpet area of no more than 60 square meters in the six metro cities of Delhi-NCR, Mumbai, Bengaluru, Chennai, Hyderabad,

and Kolkata, and no more than 90 square meters elsewhere. The stamp duty value, or the value assigned by the state government for stamp duty purposes, which may differ from the transaction price, could not exceed ₹45 lakh. The loan had to be sanctioned between April 1, 2019, and March 31, 2022. You can claim either section, not both.

If you live on rent

For those who receive HRA as part of their salary, the tax exemption (old regime only) is the lowest of three amounts: the actual HRA received, 50 per cent of basic salary in metro cities or 40 per cent elsewhere and the actual rent paid minus 10 per cent of basic salary.

Two compliance requirements apply. If your annual rent exceeds ₹1 lakh, you must submit your landlord's PAN to your employer. If your monthly rent is ₹50,000 or more, you must deduct TDS at 2 per cent and deposit it with the government. This rate was reduced from 5 per cent in October 2024; the obligation itself remains unchanged.

If you do not receive HRA at all, Section 80GG allows a deduction of up to ₹5,000 a month, or ₹60,000 a year (old regime only). To be eligible, neither you, your spouse, nor your minor child should own a residential property in the city where you live and work.

When you eventually sell

A property held for more than 24 months qualifies as a long-term capital asset. For sales after July 23, 2024, the tax rate is 12.5 per cent without indexation. If the property was acquired before that date, you can choose between 12.5 per cent without indexation or 20 per cent with indexation, whichever is lower. Property sold within 24 months is taxed at your applicable tax slab rate.

Section 54 allows you to avoid long-term capital gains tax by reinvesting the proceeds in another residential property in India, purchased within one year before or two years after the sale, or constructed within three years. If the reinvestment is not complete before your tax filing deadline, the capital gains must be deposited in a Capital Gains Account Scheme account with a designated bank; unused funds eventually become taxable. From assessment year 2024-25, the exemption is capped at ₹10 crore, and all conditions must be met in full.

Given the complexity around reinvestment timelines and overlapping provisions, a conversation with a tax professional before selling is time well spent. 



COVER STORY

**Good
businesses.**

Better
numbers.

**10 companies that just crossed
the line from good to great**

By Abhinav Goel and Lekisha Katyal

“**G**ood is the enemy of great.” Jim Collins, an American author best known for his management classic *Good to Great*, wrote these words in 2001. They have since become perhaps the most quoted line in business literature. Fund managers invoke it in presentations, managements borrow it in annual reports. And yet for all the agreement around the phrase, few investors have the answer to the question it raises: If good companies can become great, how does one find them?

Many believe in relying on instinct. Studying management, reading annual reports, attending concalls and watching the business closely. Over time, that may help one develop a feel for when a company is changing. But pure instinct, without a framework, is hard to repeat and even harder to fully rely on. Busy investors cannot track every promising business in that depth. Therefore, a framework that shows when a business crosses over from good to great is not only useful but also imperative. We have developed, tested and applied our own in this story and unearthed a list of stocks that could be the market’s next GOAT(s).

Where greatness shows up

The two most telling financial indicators are margin expansion and rising capital efficiency. Others like revenue growth, cash flow and balance sheet strength, matter just as much, but they do not always reveal a business changing in character. A company can grow sales by cutting prices or improving cash flow by delaying investment. It can look busy without becoming better.

Margins and return on capital employed, or ROCE, are harder to flatter for long. When both improve together, they hint at something more powerful: the company may have gained pricing power, moved into better products, crossed a scale threshold or entered a more profitable line of business. This is when the business is not just expanding but actually improving.

Such shifts rarely occur in a single quarter. They build over the years and are usually the result of a deliberate change in strategy. The market, anchored to what the company used to be, is often slow to recognise what it is becoming. That lag is where the opportunity lies.

Proof in the return payoff

To test whether spotting this dual inflexion actually generates superior returns, we ran a historical backtest. For each year starting FY16, we looked for companies (with a market cap of above ₹500 crore) where the following two things took place together:

- Average operating profit margins had improved over the last two years compared with the preceding three years.
- Average ROCE had risen by at least 300 basis points.

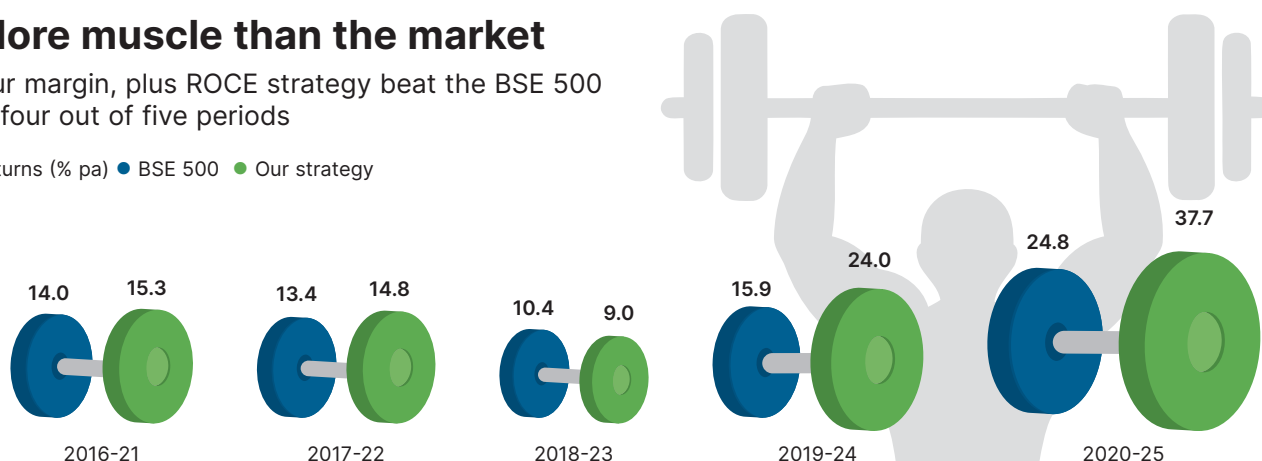
We then built an equal-weighted portfolio of such companies at the end of every financial year and tracked its performance over the next five years against the BSE 500. This was done on a rolling basis, spanning all possible five-year windows across FY16-25.

In simple terms, for the 2016 to 2021 return period, for instance, we selected companies whose margins

More muscle than the market

Our margin, plus ROCE strategy beat the BSE 500 in four out of five periods

Returns (% pa) ● BSE 500 ● Our strategy



Returns calculated on a five-year rolling basis at the end of each financial year. Portfolio made on an equal weight basis. To illustrate, returns for the 2020-25 period assume that the investment was made in 2020 after observing performance from 2016 to 2020.

What turns good into great

The change that shows up in the numbers is not accidental. Usually, one or more of the below three things make the magic happen.



01

A move up the value chain

A company may shift from commoditised products to specialised ones, from being a price taker to having pricing power or from standard offerings to differentiated services. This shows up directly in margins. Unlike cost cutting, which has a natural limit, a better product mix can lift profitability for years.



02

Operating leverage

Many companies carry large fixed costs that weigh heavily on modest revenues. But once sales cross a certain threshold, every additional rupee flows sharply to profit. For instance, a business earning 8 per cent margins at ₹500 crore may earn 15 per cent at ₹1,000 crore, simply because scale has started working in its favour.



03

A strategic pivot

Sometimes, a management enters a business or market that is structurally better than the old one. The existing business funds the shift. As the new segment grows, it changes the economics of the entire company. The best pivots are those that draw on the company's existing strengths, relationships, technology or infrastructure.

and ROCE had improved on average over FY15 and FY16 compared to FY12 and FY14. We then measured how those stocks performed over the next five years. The logic was to find companies where the business economics had already started to improve, invest at that point and measure what happened next.

A striking result: The strategy beat the BSE 500 in four of the five holding periods. Put differently, an investor entering this strategy at the end of any financial year from FY16 would have had an 80 per cent chance of beating the market, often by a handsome margin (see chart 'More muscle than the market').

Improving margins and capital efficiency over a period, therefore, signal that something meaningful may be changing inside the business. Spotting this point of change and investing at the right time has been shown to deliver handsome returns. Once you spot such a business, the next thing to validate the thesis is to assess what is driving the change.

Case studies in how good gets better

1) Navin Fluorine is a good example of moving up the value chain. Its mainstay was refrigerant gases, a cyclical, commoditised business with margins that had a ceiling. In FY13, refrigerants accounted for nearly 60 per cent of revenue, and operating margins were just 13 per cent. It was a good business, but not a great one yet.

Then the mix began to change. The company gradually built its speciality chemicals business and a contract research and manufacturing services (CRAMS) business, for global customers, seeking complex chemistry partners in India.

By FY25, these businesses had become far more important, while refrigerants accounted for only 43 per cent of revenue. Operating margins had risen to 25 per cent, almost double the FY13 level. ROCE moved up as well. This was not a fluke. The business slowly became more valuable. The numbers showed the direction before the market fully rewarded it.

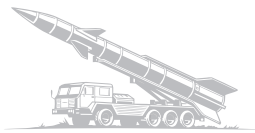
2) Solar Industries is the other kind of story. For most of its life, it was India's largest manufacturer of commercial explosives. It supplied to mines, quarries and infrastructure projects. The business was solid, cash-generative and respectable. Then, defence changed the plot.

India's push for domestic defence manufacturing opened a large new earnings pool. Solar had the rare combination needed to enter it: explosives expertise, manufacturing capability, regulatory approvals and a long record of reliable supply.

As defence contracts scaled, the company's economics improved. Defence is structurally more profitable than the commercial explosives market. Buyers are less price sensitive. Entry barriers are higher. Competition is limited by technology,

An explosive upgrade

Solar Industries' defence pivot transformed its return profile entirely



As a % of revenue:

Explosives Initiating Systems Defence

				ROCE (%)
FY25	59	13	28	38.1
FY24	70	16	14	31.0
FY23	78	13	9	36.3
FY22	76	15	9	25.6
FY21	72	20	8	19.9
FY20	73	19	8	19.9

approvals and trust. ROCE, once in the low 20s, climbed towards 40 per cent.

Neither of the two companies announced their transformation with a drumroll. The change first appeared in the business mix, margins and capital efficiency. Investors who noticed early were paid well.

Pitfalls to stay clear of

1) Don't mistake a cycle for greatness

This is where investors can get trapped. At the top of a cycle, everything looks wonderful: margins and ROCE rise sharply. Then the cycle turns, and the apparent improvement disappears.

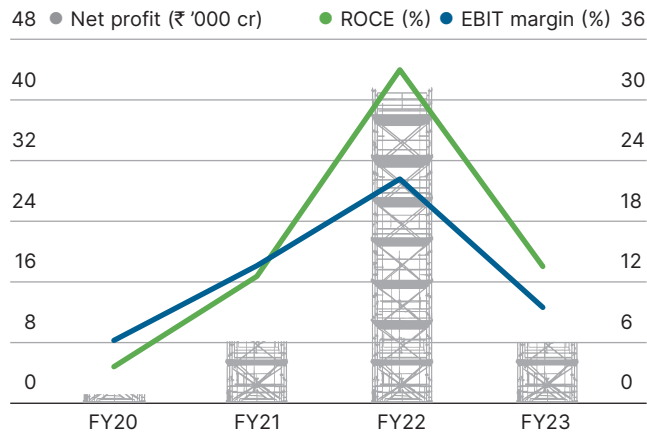
Tata Steel's FY21 and FY22 numbers are a useful warning. A global steel upcycle, driven by post-Covid infrastructure spending, production curbs in China and strong demand from construction and automobiles, sent steel prices sharply higher. Tata Steel's financials looked spectacular. EBIT margins expanded from 6 per cent in FY20 to 22 per cent in FY22. ROCE surged from 3 per cent to over 33 per cent.

On a screen run in late 2021, Tata Steel would have looked like one of India's great business transformations. But the driver was largely external pricing, not a permanent change in business quality. When Chinese production resumed and demand normalised, steel prices cooled. Margins compressed, and ROCE fell back. The stock gave up a large part of its supercycle gains (see chart 'A steely mirage').

The lesson is to never stop at metrics alone. Ask

A steely mirage

Tata Steel's sky-high margins in FY22 vanished as prices normalised



what caused the improvement. Three questions can help separate a real upgrade from a passing cycle.

Did the company sell more, or just charge more?

Volume-led growth is sturdier. Price-led growth alone can vanish when the cycle turns.

Did its position actually improve?

New customers, better products, higher market share and longer contracts suggest a more competitively positioned business, not just a temporarily profitable one.

Where did the numbers settle after the boom?

If margins and ROCE fall back to old levels, it was a cycle. If they stay meaningfully higher, the business may have genuinely improved.

If a company fails these tests, it is not great. It is merely benefitting from good timing.

2) Mind the valuation

Even when the improvement is real, the stock may not be an immediate buy. By the time a good-to-great transition becomes obvious, the market may already have noticed. That is why our screener on the following page does not apply a valuation filter. The aim is not to say every company is a buy today. It is to identify businesses where the quality of earnings is improving. Some might already be expensive. That is not a reason to dismiss them, but to put them on a serious watchlist.

A great business bought at a foolish price can still make a mediocre investment. But a business genuinely improving deserves attention and should be bought at a sensible entry point.

Our methodology

How we separated genuine improvement from a passing good phase

The aim was not to find companies that had merely enjoyed a good year. It was to identify businesses where growth had strengthened, margins had improved and capital was being used more effectively.

We began with the full universe of listed Indian companies and applied the following screens.

Hygiene checks

Before looking for improvement, we removed companies whose data, liquidity or financial structure could distort the picture.

Market capitalisation above ₹500 crore to ensure the company had a reasonable size and liquidity.

BFSI companies excluded, since banks, insurers and finance companies follow different financial structures.

Debt-to-equity below 1.5 to ensure the improvement was not built on excessive borrowing.

Profit before tax is positive as of the first nine months of FY26 to confirm the business is profitable today.



Growth

Next, we looked for companies where growth was not only present but improving.

Annual revenue growth above 8 per cent between FY20 and FY23 to confirm the



company was a functioning, growing business, not a distressed asset with a low base.

Annual revenue growth above 12 per cent between FY23 and FY25 to ensure growth moved into a higher gear.

Revenue growth above 12 per cent year-on-year in the first nine months of FY26 to ensure momentum was alive.

Quality

Finally, was the company just selling more, or becoming better and more efficient?

Average operating profit margin over FY24 and FY25 is higher than that between FY21 and FY23 to show pricing power, cost structure or revenue mix had improved.

Average ROCE over FY24 and FY25 is at least 300 basis points higher than the average between FY21 and FY23 to confirm capital was being used more productively.

Five-year cumulative CFO to EBITDA of at least 65 per cent to check if reported profits were backed by cash. Profits can be polished. Cash is harder to dress up.

These filters narrowed the listed universe to 52 stocks. Studying management quality, competitive position and durability of business mix shift gave us 10 names.

An important caveat: remember that this is a watchlist, not a buy list. For actual recommendations, from our analyst team, explore **Value Research Stock Advisor**.



Our 'good-to-great' candidates

Company	Market cap (₹ cr)	Debt/equity (x)	Avg. ROCE (%)		Avg. operating margin (%)		FY21-25 cumulative CFO / EBITDA (%)
			FY21-23	FY24-25	FY21-23	FY24-25	
Bharat Electronics	3,15,307	0.0	28.4	37.1	19.7	24.0	71.4
Polycab India	1,22,115	0.0	24.6	32.2	10.3	12.2	65.2
Garden Reach Shipbuilders	33,615	0.0	20.9	33.3	5.0	6.5	88.2
Sai Life Sciences	22,695	0.1	6.3	13.8	7.1	13.7	74.8
Shaily Engineering Plastics	11,639	0.3	12.1	16.8	10.3	14.9	69.8
Lumax Auto Technologies	11,053	0.8	17.0	23.2	7.1	9.1	68.4
Healthcare Global Enterprises	8,548	1.1	5.7	12.6	2.9	7.8	88.7
Pricol	6,982	0.1	16.0	23.9	6.7	8.3	88.5
Sandhar Technologies	2,967	0.7	9.1	13.2	4.7	5.4	73.3
Windlas Biotech	1,800	0.1	13.0	17.7	9.2	9.5	76.2

Data as of April 30, 2026

Radars to riches



Bharat Electronics builds the electronic brains behind India's military: radars that detect incoming threats, systems that jam enemy signals, underwater sonar for naval vessels, communication networks for soldiers and guidance systems for missiles. A small civilian business, contributing 6 per cent of revenue, covers electronic voting machines, metro rail communications and smart-city infrastructure. Its moat is unusually strong. These systems are classified, technically complex and deeply embedded into defence platforms, making replacement difficult once BEL is qualified.

The shift had begun in 2020, when India banned imports of hundreds of defence items, pushing procurement towards domestic manufacturers. BEL was the most capable beneficiary. Margin expansion came from a clear change in role. It moved from assembling imported systems to designing more products in-house, replacing costly foreign components with local ones. The economics are very

different. When BEL builds from the ground up, it retains 40 to 45 per cent of the contract value. When it simply does assembly as an integrator, that share falls to 10 to 15 per cent.

BEL has also moved from making radars to integrating full weapon systems, capturing a larger share of each contract. More revenue from software-heavy systems, such as battlefield communication networks and electronic warfare platforms, has further helped margins.

A debt-free balance sheet means these gains are not diluted by interest costs.

The runway remains strong. Annual capex of around ₹1,000 crore and the Andhra Pradesh facility are modest and should not press returns. The QRSAM missile defence programme should drive growth from FY27-28, while avionics and naval electronics offer longer-term visibility.

The key risks are dependence on defence orders, execution delays and rising competition.

53.4

P/E

11.0

FY20-23 revenue growth (% pa)

15.8

FY23-25 revenue growth (% pa)

The warship pipeline



Garden Reach Shipbuilders and Engineers is a government-owned defence shipyard in Kolkata and India's most prolific naval warship builder, with over 800 platforms delivered. Shipbuilding contributes 95 per cent of revenue across frigates, corvettes, anti-submarine warfare vessels and patrol ships. The rest comes from bridges, deck machinery and naval guns.

Until FY21, GRSE was valued like a sluggish PSU with uncertain demand. That changed when India banned imports of more than 100 defence items and the Navy and Coast Guard each set 200-ship fleet targets. Years of warship orders were effectively reserved for domestic yards. For a proven naval builder, this became a big visible pipeline.

Execution gave the story credibility. The P-17A frigates, advanced stealth warships, entered peak billing from FY22 when weapons, sensors and final integration drive

the heaviest revenue recognition, lifting growth and returns. The next few years have a clear rhythm. FY27 should be the peak revenue year as P-17A deliveries near completion. A two-year plateau may follow because the frigate programme ends while the next orders remain in early construction when billing is low. The bigger prize is the ₹33,000 crore next-generation corvette contract. These smaller, patrol-focused warships sit below frigates, and GRSE

is the leading bidder. If won, it could recreate the P-17A revenue curve on a larger scale, peaking around FY30.

The risks are concentration and timing. The order book depends heavily on the Navy and Coast Guard, so award delays can create a gap. Complex supply chains and imported equipment can slow execution. Part of GRSE's high ROCE also comes from treasury income on customer advances, which could shrink if order inflows weaken.

42.6

P/E

21.3

FY20-23 revenue growth (% pa)

40.8

FY23-25 revenue growth (% pa)

HEALTHCARE GLOBAL ENTERPRISES ★★★★★

A healthier network



Healthcare Global Enterprises is India's largest dedicated cancer-care network with 22 cancer centres and four multi-specialty hospitals. Unlike hospitals that treat oncology as just another department, HCG focuses entirely on cancer. Its hub-and-spoke model gives it reach and depth: the flagship Bengaluru centre handles complex cases, while regional hubs across Gujarat, Maharashtra, Rajasthan and East India feed patients upward when needed. In smaller cities, HCG is the only advanced cancer care provider, giving it a referral base that hospitals cannot easily replicate.

This network was once a financial burden. Aggressive expansion had pushed losses to nearly ₹194 crore by FY21, with debt weighing on returns. The turnaround came from sharper capital discipline. HCG cut greenfield spending, leased hospital spaces instead of buying them and brought costly equipment on a pay-per-use basis. Growth did not stop;

it became more selective. Bolt-on acquisitions in Hubli and Vizag helped capture regional markets faster. Most importantly, emerging centres that were losing money began breaking even. As occupancy and revenue per occupied bed improved, operating leverage did the rest.

The runway remains meaningful. HCG's existing network is operating at only 50 to 60 per cent of its revenue potential. Mature centres deliver EBITDA margins of 25 to 28 per cent. As younger centres move towards that level, overall margins could rise from 18.5 per cent today to 23 to 24 per cent over the next few years. It also aims to add 1,000 beds by FY30 through brownfield expansion, funded from internal cash flows. Risks remain. New centres depress margins before occupancy builds, metro competition is rising, and smaller cities cap revenue per patient because purchasing power is lower.

473.1

P/E

15.7

FY20-23 revenue growth (% pa)

14.5

FY23-25 revenue growth (% pa)

LUMAX AUTO TECHNOLOGIES ★★★★★

A richer auto mix



Lumax Auto Technologies manufactures components and integrated systems for automakers. Its largest business is advanced plastics and interior systems, including cockpits, door panels, and lighting products, which contribute 57 per cent of revenue. Structures and control systems, such as gear shifters and frames, add 23 per cent. The rest comes from alternate-fuel systems for CNG and hydrogen vehicles, and from an aftermarket division that sells replacement parts to retailers.

For years, Lumax was a traditional lighting and components supplier with margins stuck around 10 per cent until acquisitions and joint ventures brought in higher-margin product lines. The biggest move was the FY23 acquisition of IAC India, a maker of premium interior cockpits and soft-touch plastics. It shifted the mix towards passenger vehicles and added a business with 17 to 18 per cent EBITDA margins. By FY24, consolidated

EBITDA margin had risen from 10.9 per cent to 13.1 per cent in one year. The 2024 acquisition of Greenfuel Energy added CNG and hydrogen fuel systems, with margins of 18 to 22 per cent. The logic was consistent: replace low-margin volume with richer products.

The future now rests more on mix improvement than plain volume growth. Greenfuel and the aftermarket business are asset-light and earn higher margins, so their rising share should lift profitability. The ₹1,450 crore order book, with 40 per cent in clean and future mobility solutions, gives visibility towards higher-value products. Lumax targets EBITDA margins of around 16 per cent by FY28 and ROCE above 20 per cent, with capex funded internally.

The risks for Lumax are its dependency on a few large automakers and execution slippage in extracting the expected gains from recent acquisitions.

44.0

P/E

17.4

FY20-23 revenue growth (% pa)

40.3

FY23-25 revenue growth (% pa)

POLYCAB INDIA ★★★★★

The cable king



Polycab India is the country's largest wires and cables manufacturer, supplying power cables, building wires and specialty cables for infrastructure projects. This core segment contributes 87 per cent of revenue. The rest comes from FMEG products such as fans, lighting, switches, and solar products, as well as an EPC division that executes government infrastructure projects. Its moat is distribution. Built over decades, the network reaches deep into the trade channel and is increasingly present in retail, making it hard for smaller rivals to match shelf presence or dealer loyalty.

A defining moment came in FY22 during a brutal commodity cycle. Copper, aluminium and PVC prices surged, with some inputs hitting multi-year highs. Most cable makers raised prices to protect margins. But Polycab absorbed part of the inflation in select categories and kept prices below competitors. Smaller regional players, lacking the balance sheet to endure the squeeze, lost ground. With

copper and aluminium pass-throughs now built into its pricing model, Polycab is better protected from future commodity swings at the gross-margin level.

The company is now entering a heavy investment phase, with ₹6,000–8,000 crore planned over five years. Yet returns should remain sustainable because of capital efficiency. Historically, every rupee invested in cable capacity has generated four to five rupees of revenue once operational. A high-voltage cable plant, due by the

end of 2026, will add a premium, higher-margin product line from FY27. FMEG, now profitable, can also scale with relatively modest incremental capital. New demand from data centres, EV charging networks and defence infrastructure adds further runway.

Some of the key risks for Polycab are commodity volatility, delayed cost pass-through and fierce competition in FMEG, where stronger brands still fight hard for dealer shelf space.

46.8

P/E

16.9

FY20-23 revenue growth (% pa)

26.0

FY23-25 revenue growth (% pa)

PRICOL ★★★★★

From repair to reinvention



Pricol makes the electronics and mechanical parts inside two-wheelers and cars. Its mainstay is instrument clusters and display systems, which show speed, fuel level, engine temperature and navigation. It makes pumps, valves and braking components, while the recently acquired polymer division from Sundaram Auto produces plastic housings used across vehicles. Its strength lies in integration. Once Pricol supplies critical systems on the same vehicle, automakers face switching costs, long requalification timelines and operational risk in replacing it.

The company has travelled far from distress. A failed expansion into Brazil, Mexico and Czechia had left it with nearly ₹430 crore of debt and pushed it into losses by FY20. The repair was decisive. Overseas ventures were wound down, capital was raised and the balance sheet was almost debt-free by FY23. More importantly, Pricol changed what it made. It moved away from low-margin mechanical parts

towards digital instrument clusters and connected vehicle platforms. This lifted realisation per unit, while BS-VI norms pushed more electronics into every vehicle.

The current phase is one of investment, not runaway margin expansion. Pricol is spending ₹500 crore on new facilities and automation, which will gradually raise depreciation. It is also investing in battery systems, connected vehicle platforms and telematics, though meaningful revenue scale-up is still two to three years

away. Margins may therefore remain stable for now. Over time, as newer products scale and the investment cycle normalises, return ratios could improve.

The risks are clear. Exposure to two-wheelers makes Pricol vulnerable to a slowdown in that segment. Semiconductor shortages and rare earth magnet constraints can disrupt production. The lower-margin polymer business will also dilute profitability until it matures.

33.1

P/E

16.5

FY20-23 revenue growth (% pa)

17.2

FY23-25 revenue growth (% pa)

SAI LIFE SCIENCES ★★★★★

Research meets scale



Sai Life Sciences is a contract research, development and manufacturing organisation that works with global innovator pharma and biotech companies across the drug development journey. Its CRO division handles early-stage research work and new drug filings. The CDMO division manufactures active pharmaceutical ingredients at a commercial scale. The two contribute 35 and 65 per cent of revenue, respectively, and reinforce each other. Around 70-80 per cent of molecules entering Sai's discovery pipeline eventually move to its manufacturing facilities.

The model has one big advantage: Sai does not need to bet on a drug's approval. As long as the innovator continues to spend on the programme, Sai earns revenue. For much of the last decade, the company was building capability under financial strain. Aggressive capacity expansion had loaded the balance sheet with debt, keeping returns weak and capital efficiency depressed.

The improvement came from both strategy and balance-sheet repair. From 2019, Sai invested in R&D centres in Boston and Manchester, moving closer to the global innovators that decide outsourcing mandates. This helped it win larger and more complex programmes. The December 2024 IPO then allowed it to repay ₹720 crore of debt, freeing the balance sheet. With finance costs falling and operating leverage kicking in, margins expanded. The runway is still

meaningful. Capacity utilisation is around 60 per cent, so existing infrastructure can absorb higher volumes before major fresh capex is needed. That should allow incremental revenue to flow more sharply to profit.

The main risk is dependence on a few large clients and drug programmes. If an important late-stage drug fails in trials, expected manufacturing revenue could be lower.

68.7

P/E

18.8

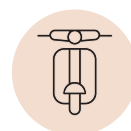
FY20-23 revenue growth (% pa)

18.0

FY23-25 revenue growth (% pa)

SANDHAR TECHNOLOGIES ★★★★★

From locks to lift-off



Sandhar Technologies began with locks: ignition locks, fuel-cap latches, seat locks, steering locks and the small hardware every two-wheeler needs. That business once dominated revenue but now makes up 18 per cent of the pie. The company has moved into larger pools: precision aluminium components or die castings, at 32 per cent of revenue, and sheet metal at 18 per cent.

For years, Sandhar merely moved with vehicle volumes. And locks offered little pricing power. As a response, Sandhar leveraged the die-casting and sheet-metal manufacturing capabilities it had built and turned them into standalone businesses for external customers. Between FY22 and FY25, it invested up to ₹300 crore annually across eight new plants. That is what sharply changed the mix, raising the revenue share of aluminium components and pressed metal parts to what they are today, while locks fell

from 30 per cent to 18 per cent. Higher-value products did what volumes alone couldn't: lift margins and revive ROCE.

The heavy investment phase is largely behind it, so the return drag appears to have bottomed out. Even within locks, Sandhar is moving up. It supplies electronic variants that work without a physical key to Honda and Suzuki. These command nearly 10 times the price of locks, with mass ramp-ups underway.

The consolidated numbers still understate the core Indian business. European operations remain loss-making, and the aluminium business bought from Sundaram Clayton is barely breaking even. If both stabilise, returns should improve.

Other risks are familiar: two-wheelers contribute nearly two-thirds of revenue, smart-lock adoption is nascent, and aluminium and zinc price swings can squeeze margins before cost pass-through catches up.

17.4

P/E

14.4

FY20-23 revenue growth (% pa)

15.6

FY23-25 revenue growth (% pa)



The GLP-1 lever

Shaily Engineering Plastics supplies high-precision plastic components to global original equipment manufacturers across consumer products, industrial components and healthcare devices. Founded in 1987, it built its drug-delivery credentials early by creating the world's first insulin pen made entirely of plastic. Today, about 72 per cent of revenue comes from exports to over 35 countries, with clients including IKEA, Sanofi, Dr Reddy's and Glenmark.

Its moat is technical. Clean-room manufacturing, regulatory compliance across the US and Europe, and proprietary intellectual property in drug-delivery devices are not easy to replicate. Once a pharma client qualifies such a supplier, switching can take years.

For most of its history, Shaily was steady but unremarkable. Between FY22 and FY24, revenue growth was modest as the company invested heavily in pharma infrastructure

without yet getting matching returns. Healthcare contributed just 10 per cent of revenue in FY23. ROCE was compressed as capex came ahead of volumes.

The inflection has come from one powerful catalyst: GLP-1 drugs. Medicines such as semaglutide and tirzepatide, used for diabetes and obesity, require injectable delivery. Shaily had already spent years developing pen injectors and auto-injectors for this category. As global demand surged, it was qualified,

certified and trusted by large pharma companies seeking a reliable supplier outside China. Healthcare revenue surged to 21 per cent of total revenue in FY25 with higher margins and ROCE following. Shaily is now expanding annual pen capacity from 35 million units to 80 to 90 million by December 2026, backed by capex of about ₹150 crore.

The main risk is oral GLP-1 drugs. If they scale successfully, the demand for pen-injector could slow down.

72.5

P/E

21.8

FY20-23 revenue growth (% pa)

13.8

FY23-25 revenue growth (% pa)



Generics, upgraded

Windlas Biotech operates across three businesses. Its CDMO division develops and manufactures generic drugs for pharma clients, accounting for 73 per cent of revenue. Trade generics, which sells affordable medicines directly in semi-urban and rural markets, contributes 23 per cent. Exports make up the remaining 4 per cent. Its manufacturing base covers oral tablets and capsules, liquid medicines and a newer injectables facility for vials and ampoules.

The company was under pressure not long ago. Input cost inflation, supply-chain disruptions and dependence on a few large clients had squeezed margins and kept growth stagnant through FY22 and FY23. The improvement came from a deliberate change in mix and market access. In CDMO, Windlas moved away from commoditised medicines towards complex generics and chronic therapies such as diabetes and hypertension. These are harder to replicate and command

better pricing. They now form 59 per cent of CDMO revenue. In trade generics, a direct-to-market model reaching over 1,000 stockists helped bypass intermediaries and structurally lower costs.

The next trigger is capacity. A new plant, expected to be commercialised in the first half of FY27, will expand oral solids capacity and raise peak revenue potential to ₹1,100 crore, against a trailing 12-month run-rate of ₹868 crore. Trade generics should continue

to scale as healthcare demand deepens in rural and semi-urban India. The CDMO mix shift should also lift realisations. With heavy investment largely behind it, operating leverage can support margin and ROCE expansion.

The risks are raw-material volatility, only partly covered by cost-plus contracts, stiff competition in trade generics and possible pricing pressure in complex generics and chronic therapies. ☒

27.1

P/E

16.0

FY20-23 revenue growth (% pa)

21.7

FY23-25 revenue growth (% pa)

‘Small and mid caps likely to grow faster than large caps’

HDFC AMC's Nikhil Mathur on why his pharma fund breaks from the large-cap consensus



Indian pharma has compounded well over two decades, but the next leg of growth may look quite different. Structural areas like domestic healthcare and CRDMOs are emerging as the more compelling opportunities, even as generics and APIs continue to evolve. HDFC AMC's Nikhil Mathur believes the sector rewards those who look beyond the dominant narrative.

Presently, Mathur is a Fund Manager and Senior Equity Analyst at HDFC AMC, where he manages two schemes: HDFC MNC Fund and the HDFC Pharma and Healthcare Fund.

In this interview, he also shares his views on valuations across the pharma value chain, the China-plus-one theme, hospital chain re-ratings and the one structural risk that the market may be overlooking.

Most pharma funds are weighted heavily toward large caps. A fund manager once told us that large companies are simply best placed to capture the opportunity. Your portfolio thinks differently, mid caps dominate and small caps have a meaningful share too. Walk us through that thinking.

The pharma and healthcare ecosystem entails both cyclical (generics) and structural (CRDMO, hospitals, diagnostics) areas. Portfolio construction is quite bottom-up with a high focus on

multi-year growth drivers. Given that many small- and mid-cap names are likely to structurally grow faster than large caps, the fund is positioned across all cap names.

Where do valuations stand today across domestic formulations, US generics, APIs and CDMOs? Are there pockets where the price has clearly run ahead of what the business can deliver?

Valuations across the pharma value chain appear largely aligned with the growth trajectory and earnings visibility that companies have demonstrated. Domestic pharma and CDMOs are benefiting from structural tailwinds and consistent execution, while US generics and APIs are seeing gradual improvement supported by a better product mix and cyclical recovery. While there may be pockets of optimism in select high-growth names, at an aggregate level, valuations do not seem disconnected from underlying fundamentals.

China-plus-one has been the pharma sector's favourite narrative for four to five years. Is it actually showing up in revenue and order books, including at companies you own or is it still more story than substance?

China-plus-one and the US Biosecure Act have gained significant attention over the past few years, but their direct contribution to revenues has

remained measured so far, given long qualification cycles. However, even beyond these themes, CDMO companies have continued to see healthy momentum driven by their own execution, as seen in improved order pipelines and ongoing capacity expansions. In parallel, there has been a clear strategic shift toward building advanced capabilities, which is helping them deepen client relationships and drive more sustainable growth.

US generics pricing has been under pressure for nearly a decade. Is this structural, a permanently different business or is there a floor somewhere?

And what caused it in first place?

US generics pricing pressure has been a persistent feature, but price erosion is not as dramatic at present, with some signs of a floor in the base business. Importantly, companies with strong pipelines, especially in complex generics, can still deliver healthy growth, as these segments face lower competition and offer better pricing.

A sector fund cannot diversify away from sector risk. How do you think about concentration within concentration, making sure your top holdings don't all go wrong for the same reason at the same time?

The pharma and healthcare ecosystem is very diversified, as fundamentals of key segments like global generics, domestic healthcare and medtech are not correlated to each other, and the fund is reasonably concentrated across these sub segments. Stock-specific risk cannot be fully eliminated, but is taken care of by ensuring that the earnings outlook and valuations of top holdings are reasonable.

Hospital chains have re-rated sharply over the last four to five years. Is that justified by something that has genuinely changed in the business, or have investors priced in an asset-light story while underestimating the working capital demands?

The re-rating in hospital chains reflects a mix of genuine business improvement and growing market demand for organised tertiary healthcare. Better occupancy, greater share of high-acuity specialties and improved realisations, combined with more consistent execution, have boosted confidence in growth visibility. While parts of the market

Higher growth opportunities are more in areas like domestic healthcare and CDMO, but there would be bottom-up opportunities in the generics space also

may be underappreciating the time and capital required to sustain this growth, stronger balance sheets and more disciplined capital allocation have provided meaningful support to the sector's rerating.

Indian pharma has compounded well for two decades. Does the next decade look like more of the same, scaling what already works or does a different kind of company need to lead it? Where do you actually see opportunity?

Overall, pharma has done well, but there could be divergence in fundamental performance of

companies depending on sub-segments, R&D capabilities and capital allocation acumen. Higher growth opportunities are today more available in structural areas like domestic healthcare and CRDMO, but there would be bottom-up opportunities in the generics space as well, based on company-specific R&D capabilities.

What is the one risk in this sector that the market is not pricing right now, not near-term volatility, but something structural?

Pharma is being seen as a defensive space amidst macroeconomic volatility led by higher oil prices and a subsequently weak rupee. But the pharma space will also not be immune to input cost pressures if the current environment persists.

A decade ago, the big story was US generics. Then it was CDMOs. Now it is biosimilars and complex generics. Each narrative carried some truth and some hype. Looking back, which transition actually created the most shareholder value, and which one disappointed?

The last decade is a tale of two halves. In the period 2015-20, there was hyper pricing erosion in US generics, which created a big earnings downcycle. But post Covid, the overall US pricing environment has improved with companies upgrading their product development capabilities towards complex generics and biosimilars. Transition is still ongoing as gestation periods can be high, but there are green shoots emerging that multiple companies are making the shift that should create shareholder value in the coming years. ☑

A boom too hard to pick

The Nifty India Defence index offers a simple way to own a sector where orders and profits rarely move predictably

Every few years, a sector comes along where the big picture is so obvious and well-supported by data and policy that investors feel a rare sense of certainty. Indian defence is one such sector today and for good reason.

The sector's budget allocation for FY27 is ₹7.8 lakh crore, up 15 per cent from last year and making up for nearly 15 per cent of the Union Budget. Of this, around ₹2.2 lakh crore has been set aside for capital expenditure: fighter aircraft, submarines, drones, missiles and radar systems. The government has also imposed a phased import embargo on over 1,000 weapon and platform categories, pushing the armed forces to buy domestically what they previously imported.

Defence exports, once negligible, have surged 34-fold since FY14, from ₹700 crore to ₹23,400 crore in FY25. The target is ₹50,000 crore by FY29 as military expenditure worldwide rises sharply amid global wars, Europe's rearmament and an accelerating US-China rivalry.

India, now the world's fourth-largest defence spender, sits at the centre of this transformation. And a few sectors have such a long structural case for investors today. The natural next step is finding the right companies, buying them and waiting. But that next step is harder than it looks.

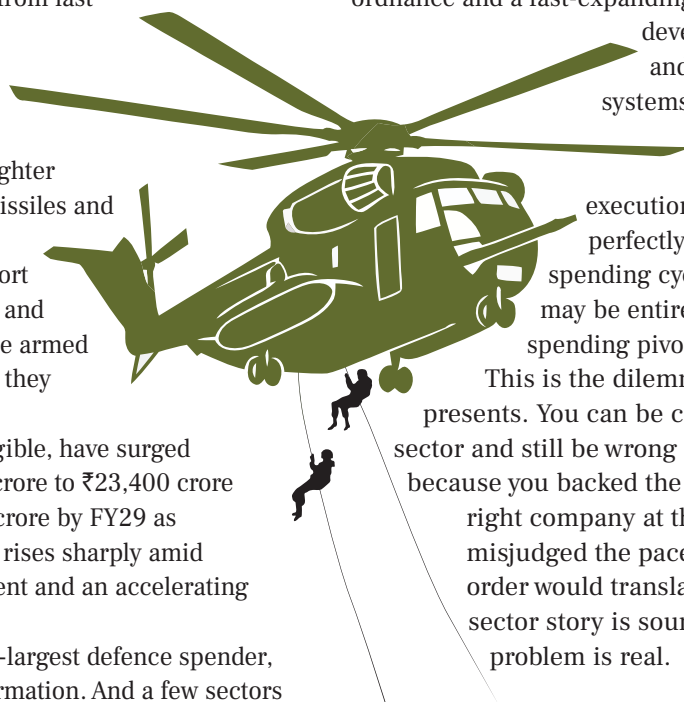
The problem with picking defence stocks

Defence is one of the most execution-dependent sectors in any economy. Orders are awarded years before revenue is recognised. Production timelines slip. Technology programmes get redesigned mid-course. A company can carry an order book worth several times its annual revenues, as Hindustan Aeronautics currently does, and still deliver earnings growth that disappoints. Converting orders into deliveries and deliveries into cash is where defence companies most frequently stumble. Meanwhile, valuations across the sector already reflect years of future

growth, leaving investors little margin for error when execution lags.

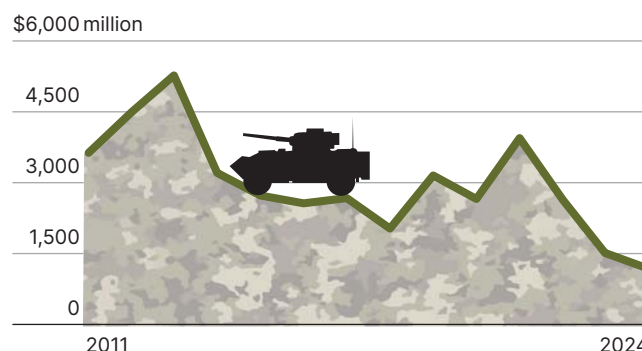
The sector's complexity compounds this. India's defence value chain spans integrators building complete platforms, electronics companies supplying subsystems, private-sector manufacturers of components and ordnance and a fast-expanding ecosystem of startups developing drones, avionics and electronic warfare systems. Each segment has different revenue drivers, margin profiles and execution risks. A company perfectly positioned in one spending cycle, say naval shipbuilding, may be entirely bypassed in the next as spending pivots to air power or space.

This is the dilemma that defence investing presents. You can be completely right about the sector and still be wrong about your portfolio because you backed the wrong company, or the right company at the wrong valuation, or misjudged the pace at which a particular order would translate into earnings. The sector story is sound. The stock-picking problem is real.



Buying less from the world

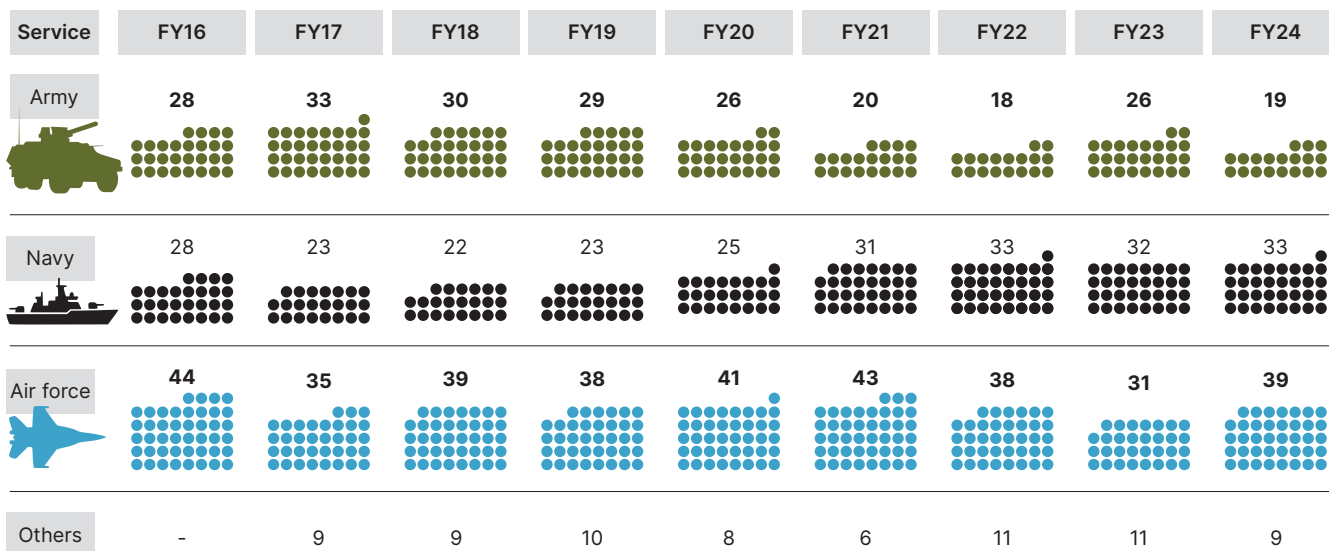
A steady fall in Indian defence sector's import bill is its biggest tailwind



Source: HDFC Securities thematic report

Where the capex goes

A decade of India's defence capex, broken down by service



Source: HDFC Securities thematic report

A better way to own the story

This is precisely the problem that the Nifty India Defence Index addresses. It holds a basket of listed companies with meaningful defence revenues from large PSUs like Bharat Electronics and Hindustan Aeronautics to private-sector names across the value chain. Rather than concentrating risk in a handful of names, it spreads exposure across the sector. And its construction is self-correcting: companies are weighted by market capitalisation, so a business that executes well sees its weight rise automatically. One that stumbles sees its weight shrink as the market prices in disappointment. Performance is rewarded and poor execution is penalised, not by a fund manager's judgment but by the market's.

Index funds and ETFs that track this index give investors a straightforward way to own it. Both hold the same underlying basket. An ETF trades on the exchange like a share; an index fund is bought at end-of-day NAV and works well for SIP investors. The choice between them is mostly one of convenience. What investors should pay attention to is tracking error and expense ratio that directly determine how faithfully their returns mirror the index.

The self-correcting mechanism does work with a lag. A heavyweight going through a rough patch will drag the index until its weight falls to reflect its diminished standing. This means real pain for

investors before the logic reasserts itself. But for anyone whose conviction is at the sector level, which in a domain this technically complex and policy-driven describes most investors, this remains the structurally sounder approach than stock-picking.

What you will be signing up for

Owning this index is not owning a safe bet. It is still a one-sector concentrated bet. And the sector has already had an extraordinary run, with several defence stocks delivering multibagger returns over the past three to four years. Valuations reflect significant optimism about future order execution. A budget disappointment, a procurement delay, or a broader market correction could compress the index sharply and a tracking fund will participate fully in any such decline.

What the index offers is the cleanest possible exposure to a genuine, multi-decade opportunity: the transformation of India from the world's largest arms importer into a credible domestic manufacturer and eventually, a meaningful exporter. The policy framework is in place. The order pipeline is real. Which companies will benefit most is not fully clear yet and some that look obvious today may disappoint. But the index does not require you to know which is which. It asks only that you believe in the sector and let the market work out the rest. ☒

The grid comes alive

How broken utilities, a demand surge and the renewable boom ended a 14-year freeze in India's power sector

The BSE Power index peaked in January 2008, collapsed, and spent the next 14 years going nowhere.

The root cause was not a shortage of electricity demand, it was a broken customer. State electricity distribution companies (DISCOMs) were technically bankrupt, buying power at market rates and selling it below cost for political reasons. Aggregate technical and commercial losses ran at 23.7 per cent in FY2016. Power companies could not collect what they were owed, equipment manufacturers had no buyers, and the entire value chain froze.

Reform before revival

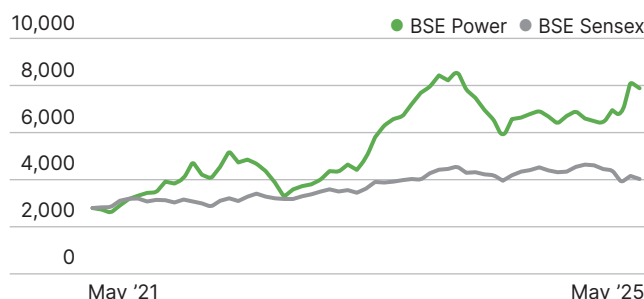
The revival began with governance, not demand. The Ujwal DISCOM Assurance Yojana (UDAY), launched in 2015, enabled states to absorb 75 per cent of DISCOM liabilities through low-interest bonds and pushed operational reform.

The Revamped Distribution Sector Scheme (RDSS), launched in 2021, tied central funds to performance improvements. Aggregate losses fell from 23.7 per cent in FY16 to 15.8 per cent by the early 2020s. The sector's largest customers were becoming creditworthy again, unlocking a decade of stranded investment.

The demand shock nobody saw coming

Then came an unanticipated demand surge. India's peak electricity demand rose 68 per cent between 2014 and 2024, from 148 GW to 250 GW, driven by post-Covid

Index movement



Adobe Stock

industrial capacity, rising air-conditioner penetration and surging economic activity.

The renewable multiplier

Renewable energy proved decisive, but its real impact lay in infrastructure demand. Unlike coal plants, solar farms in Rajasthan require hundreds of kilometres of transmission lines, substations, and switchgear.

India's non-fossil capacity tripled from 81 GW to 250 GW between 2014 and September 2025, with ₹9.15 lakh crore earmarked for transmission by 2032. This created a global equipment shortage: transformer lead times exceeded 24 months, that Indian manufacturers, having survived the lean decade, were perfectly positioned to capture.

Data centres add a new chapter

Data centre electricity consumption in India is set to grow at nearly 15 per cent per annum through 2030, over four times faster than all other sectors combined. Capacity is set to grow from 1.2 GW in 2024 to 4.5 GW by 2030.

Two businesses, one index

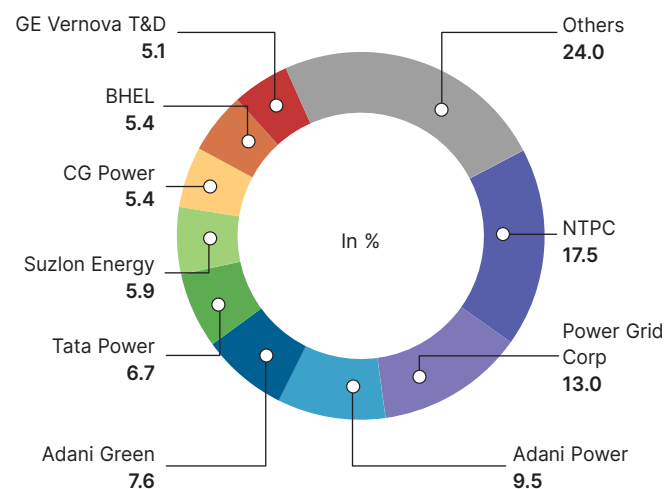
The index holds two distinct businesses. Traditional

utilities, which include generators and transmission companies, benefitted first as DISCOM reform restored revenue collection, but improvement was gradual, constrained by regulated, capped returns.

Capital goods companies such as transformer makers, switchgear manufacturers and engineering firms, gained far more. A decade of suppressed demand released simultaneously into an under-scaled supply chain meant revenue surged into a lean cost base, producing disproportionate profit growth. The market re-rated these companies sharply, from struggling industrials to long-term structural winners.

The 14-year gap between peaks was not incidental. Three things needed to converge: creditworthy customers, genuine demand growth and a sustained investment supercycle. When they did, the move was swift and significant. ☒

Index weights



Company	Market cap (₹ cr)	P/E	P/B	Dividend yield (%)	1Y return (%)
GE Vernova T&D	1,09,663	102.7	46.1	0.1	154.0
Hitachi Energy	1,43,826	171.0	29.7	0.0	103.2
Adani Power	4,04,207	31.5	6.2	0.0	91.8
BHEL	1,36,392	85.2	5.2	0.4	68.2
Adani Green	2,15,121	130.2	11.2	0.0	38.8
Thermax	53,440	74.2	9.6	0.5	35.9
CG Power	1,31,263	108.8	16.5	0.2	29.2
Siemens	1,27,308	72.0	9.4	0.0	23.4
ABB India	1,34,142	87.3	16.4	0.6	13.3
NTPC	3,80,885	15.8	1.9	2.1	12.7

Data as of May 13, 2026

Key numbers

36.4

Price-to-earnings

5.0

Price-to-book

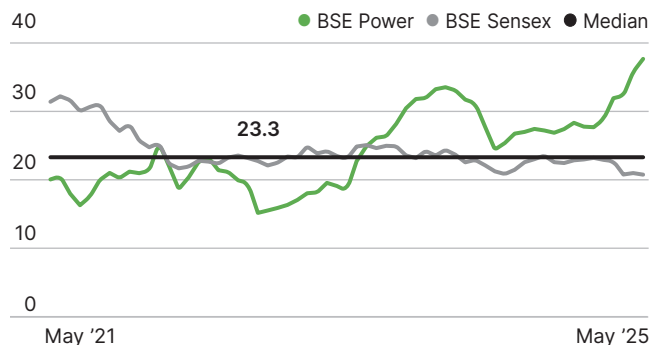
1.0

Dividend yield (%)

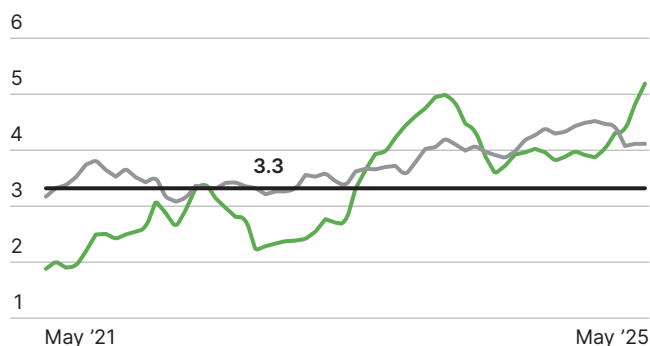
26.9

Market cap (₹ lakh cr)

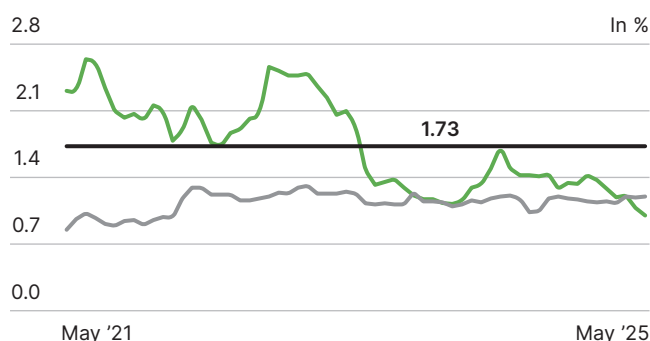
Price-to-earnings ratio (P/E)



Price-to-book ratio (P/B)



Dividend yield



What a \$100 barrel reveals about your stocks

A crisis that damages things, not just sentiment, is the truest test of business quality. Here is how we are thinking about it.



By
**Dharendra
Kumar**

Last month, I wrote something I had not written in 30 years. I said that the standard advice, stay the course, this too shall pass, may not apply in its usual form to the US-Iran war.

Hundreds of readers wrote back. The question in almost every email was the same: you told us it is different. Now tell us what to do.

This column is not about mutual funds. It is about stocks. And for the stock investor, the answer begins with a distinction that most market commentary has missed.

Sentiment damage vs physical damage

Most market crises damage the mood. Valuations get ahead of earnings. Panic sets in. Prices fall. But the factories are still there. The workers are still there. Mood recovers. It always does.

The conflict in West Asia is damaging things. If even a fraction of the world's crude refining capacity is destroyed, that capacity will not return even if confidence improves. It returns when steel is welded,

The \$100 barrel does not end equity investing. It ends the pretence that every stock is an investment worth holding. The question for every stock investor is if your portfolio is on the right side of the market.

and pipelines are rebuilt. That takes years.

For the stock investor, this distinction matters enormously. Because it tells you which businesses will absorb the shock and which will transmit it.

The \$100 barrel as a sorting machine

A crude price above \$100 does not hurt every business equally. It sorts them.

On one side, there are businesses whose costs are dominated by oil, either directly or through derivatives such as plastics, fertiliser, freight and packaging. Cement companies. Auto ancillaries. Paints. FMCG firms with thin margins. Airlines. For these businesses, a sustained oil shock compresses earnings for as long as the price of the barrel stays high. The market has not yet fully priced this in because it still expects a quick resolution. If the resolution is slow, next year's earnings estimates will be cut.

On the other side, there are businesses that earn in dollars and spend in rupees. IT services. Pharma exporters. Speciality chemicals with global customers. For these, a weaker rupee inflates reported earnings without them lifting a finger. They are accidental beneficiaries of the same disruption that hurts importers.

And in between, a category most investors overlook is businesses with pricing power. A company that can pass higher input costs to customers without losing volume is a company whose margins survive the barrel. This is not a sector label. It is a company-level characteristic. Two paint companies in the same sector will respond differently depending on brand strength, distribution reach and whether their customers have alternatives. Pricing power is invisible in a benign economy. It becomes the most important line in the annual report during a crisis.

What we are doing at Stock Advisor

At **Value Research Stock Advisor**, our response to this crisis has not been to buy gold, raise cash or



Illustration: Anand Kumar

hedge with commodities. It has been to re-examine every holding against one question: If crude stays above \$100 for two years, does this business still earn enough to justify its place?

For some holdings, the answer is clearly yes. Businesses with low dependence on crude inputs, strong pricing power and export earnings are better positioned now than they were six months ago. We have not sold these. We will not.

For others, the answer has become less clear. Businesses with already compressed margins and oil as a direct input cost face a longer recovery than the market expects. We are watching these closely. Two of our recent exits, discussed in last month's column, were made on exactly this logic: the business had changed, not the price.

This is the discipline we built Stock Advisor around. Every recommendation carries a written thesis with explicit headwinds and tailwinds. The final decision is not made in the heat of the moment. It is made against conditions we agreed to watch from day one. When a headwind materialises, we act. When it does not, we hold. The crisis does not change the framework. It activates it.

The honest forecast

I will be direct about what I expect.

The recovery in Indian equities will be slow and uneven. Earnings growth for FY27 will likely be lower than the 12 to 15 per cent the market was expecting six months ago.

Oil-sensitive sectors will report margin compression. Rate cuts may not arrive on the schedule the bond market is pricing in.

None of this changes the case for owning good businesses. It changes the timeline.

A portfolio of businesses with strong cash flows, low debt, pricing power and essential products will compound through this. Not smoothly. Not quickly. But through it. A portfolio of leveraged, commodity-dependent, low-moat businesses may not.

The \$100 barrel does not end equity investing. It ends the pretence that every stock is an equity investment worth holding. The sorting has begun. The question for every stock investor is whether your portfolio is on the right side of the market.

At **Stock Advisor**, that is the question we answer every month. In months like this, it is the only question that matters. [☑](#)

The fast-track trap

How Nasdaq and the S&P rule changes are rewriting the principles of passive investing



By
**Anand
Tandon**

For decades, passive investing offered a compelling promise to investors worldwide: buy the market index at a low cost, minimise fees, ignore short-term noise and benefit from long-term economic growth.

This model thrived when indices reflected genuine price discovery after companies proved their mettle through years of public scrutiny. Today, that foundation is shifting. Recent changes to Nasdaq listing and index inclusion rules, combined with the impending wave of trillion-dollar mega-IPOs (initial public offerings), are accelerating the transformation of markets into liquidity-distribution machines rather than pure price-discovery arenas. For Indian investors enthusiastically allocating to global passive vehicles, these developments warrant close attention.

The rule changes at a glance

Nasdaq has implemented 'fast entry' provisions effective May 1, 2026, for its Nasdaq-100 index. Qualifying mega-cap IPOs (those whose market cap would rank in the top 40 of the index, roughly over \$100 billion) can now be added after just 15 trading days, evaluated as early as the seventh day. This bypasses traditional seasoning periods of several months to a year. Key relaxations include removing (or capping) strict minimum float requirements and adjusting market-cap calculations.

S&P Dow Jones Indices is consulting on similar accelerations for the S&P 500 and related benchmarks, potentially shortening the seasoning period to six months and waiving profitability requirements for large companies. FTSE Russell has explored parallel adjustments.

These changes contrast with tightened standards for smaller or riskier listings (for example, higher float and scrutiny for SPACs and foreign issuers), highlighting a bifurcated approach favouring mega caps.

Mega IPOs poised to test the new rules

The timing is no coincidence. A historic pipeline of mega-IPOs is approaching, many of which are loss-making or have limited public floats yet carry enormous valuations.

Comparison of key index inclusion and listing rule changes

Aspect	Traditional rules (Pre-2026)	Nasdaq-100 fast entry (Effective May 2026)	S&P 500 proposed changes (Under consultation)
Seasoning period	At least 3-12 months	15 trading days for the top 40 companies (as per market cap)	Potentially six months (from 12)
Profitability requirement	Often required (for example, four positive quarters)	Exempt for mega caps	Potential waiver for large companies
Minimum float	Typically over 10 per cent or significant liquidity	Relaxed or capped at 3x float for weighting	Under review
Impact on index count	Strict 100 constituents	Temporary exceedance allowed	Committee discretion
Primary driver	Price discovery and stability	Accommodate mega-IPOs and passive flows	Capture large listings

Sources: Nasdaq methodology updates, S&P consultations, Reuters/Bloomberg reporting. Status as of early May 2026.

Why it challenges passive investing

Passive strategies assume indices filter for quality and allow organic price discovery. Fast-tracking undermines this by forcing trillions in benchmarked capital (just the top four funds SPY, VOO, IVV, VFIAX total over \$3 trillion for the S&P 500, plus Nasdaq-100 trackers like QQQ) into unseasoned names at potentially stretched valuations. Passive funds buy proportionally regardless of fundamentals: 65x revenue multiples or projected multi-year losses become irrelevant.

This creates a powerful feedback loop: IPO hype + rapid index entry → mechanical buying → higher prices → greater index weight → more inflows. Insiders and VCs gain instant liquidity exits, while passive savers absorb the risk. Historically, mega IPOs have underperformed after listing – Facebook (now Meta Platforms), Alibaba Group and Saudi Aramco fell by 38, 9 and 15 per cent, respectively, six months after their debuts. The rule change can make passive investing more pro-cyclical right when the market is already crowded into expensive, mega-cap tech names.

Critics such as hedge fund manager Michael Burry have described this as ‘structural manipulation’, arguing that benchmark rules are increasingly designed to attract large listings rather than to protect long-term investors.

Amid record over-equitisation (US stock market cap exceeding 250 per cent of GDP) and passive dominance, reduced price discovery, governance dilution (as mega managers like BlackRock hold sway) and amplified volatility from low floats are real concerns. Passive investing works best where active investors still dominate price discovery. If too much capital becomes passive, price signals weaken. Securities become driven less by underlying cash flows and more by



Illustration: Anand Kumar

benchmark inclusion and liquidity mechanics.

Specific risks for Indian investors

Indian investors have embraced global diversification through mutual fund feeders into Nasdaq-100 or S&P 500 ETFs and direct overseas investments. A sharp correction in these concentrated US tech-heavy indices, triggered by post-inclusion reality checks, would directly impact portfolios. Currency risk adds another layer: rupee depreciation during global risk-off episodes could compound losses. EMs like India and ASEAN have lagged the US markets. Fast-tracked hype may widen this gap before any mean reversion.

Hedging strategies for Indian investors

The first step is intellectual rather than tactical: investors must abandon the belief that passive investing is inherently ‘safe’. Passive investing is a strategy, not a law of nature.

Second, diversification must become genuinely multi-

Selected potential mega-IPOs (2026 estimates)

Company	Expected timing	Target valuation	Estimated raise	Notes on float/exposure
SpaceX	June 2026	\$1.5-2 trillion	\$50-75 billion	Low float (around 3-5 per cent initially); Starlink-driven cash flows
OpenAI	Q4 2026	Around \$850 billion-1 trillion	Significant	High losses projected; AI infrastructure heavy
Anthropic	2026	Over \$380 billion	To be determined	Enterprise AI focus; strong funding backing
Databricks	2026	Over \$134 billion	Substantial	Data or AI platform; more mature metrics
Stripe	2026	\$159 billion	To be determined	Fintech leader

Sources: Nasdaq methodology updates, S&P consultations, Reuters/Bloomberg reporting. Status as of early May 2026.

Investors should consider diversifying beyond the US-centric ecosystem. Parts of Asia, including India itself, may offer better demographic and economic growth with lower valuation excesses than US technology.

asset rather than simply multi-geography. Many investors believe they are diversified because they own Indian equities and US technology ETFs. In reality, both may be exposed to the same global liquidity cycle.

Third, investors should consider reducing concentration in capitalisation-weighted indices. Equal-weight strategies, factor-based investing, value-oriented funds, or actively managed global portfolios may offer better diversification than traditional cap-weighted ETFs, which are increasingly dominated by a few mega-cap names.

Fourth, investors should allocate more thoughtfully toward real assets and cash-flow-producing assets. Exposure to gold, infrastructure, utilities, energy pipelines and high-quality dividend-paying businesses may provide resilience in a world where financial assets appear increasingly detached from

underlying economic reality.

Fifth, investors should consider geographic diversification beyond the US-centric ecosystem. Parts of Asia, including India itself, may offer stronger long-term demographic and economic growth with lower valuation excesses than parts of the US technology.

Finally, hold dry powder (inspired by Berkshire's cash pile) for opportunities. Monitor lock-up expirations and post-IPO selling pressure.

The bottom line

The Nasdaq and S&P adjustments, timed for the mega-IPO wave, underscore how passive capital now shapes market structure rather than merely reflecting it. For Indian investors, the allure of US tech exceptionalism must be balanced against mechanical risks in an over-financialised system. Passive investing retains advantages in cost and efficiency, but blind adherence to evolving indices is no longer the set-it-and-forget-it strategy of yesteryear.

Vigilance, genuine multi-asset diversification and a focus on cash-generative businesses with strong governance offer the best path forward. In this era of index engineering and liquidity reflexivity, Indian investors must adapt to protect and grow their wealth prudently. ☑

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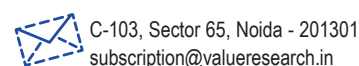
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The illusion of certainty

Why successful investing starts with admitting uncertainty



By
**Mohammed
Ekramul
Haque**

One of the myths about professional equity analysts like us is that we know much more than investors like you. People imagine we have mapped every possible future, run every variable through spreadsheets and have ready answers for every stock move or macro development.

Let me tell you a secret: we haven't. In investing, nobody ever has, and nobody ever will. A lot of what matters most simply cannot be known with real confidence.

Think about a few of the questions we all end up asking:

- How well will a new drug launch perform?
- How many vehicles will be sold amid higher interest rates and fuel prices?
- Will we have a good monsoon or a deficient one this year, and how will that affect agri companies' fortunes?
- How will the ongoing wars impact supply chains, costs, sentiment and corporate decisions?

The honest answer to every one of these is the same: we don't know. Neither do the smartest analysts on Dalal Street.

And yet this is exactly the sort of thing a good part of the financial world pretends to know. Brokerages take every unknown, put it into an Excel sheet, run some formulas and out comes a target price. ₹5,200, say, by Diwali. It looks well calculated and often sensible. But a lot of the time, it is just guesswork dressed up to impress you.

You can see this play out even now. A slew of brokerages have issued lofty price targets for many Indian IT stocks. While we do not mind the upside they project, real life is rarely laid out in precise numbers.

However precisely you fill in your Excel sheets or DCF

calculations, reality has a way of upsetting them. Not one professional equity analyst could, in truth, estimate the extent of the damage the Covid pandemic would cause to countries, people and companies. You do not even have to go to that extreme. No one could estimate the hit Indian tech companies would take as AI evolves. And no one has a clear idea how the current Middle East conflict will affect fuel supplies, inflation or demand in seemingly unrelated sectors.

Yes, history helps. It gives perspective. But every crisis comes with its own peculiarities. You cannot just lift one pattern and paste it onto another.

So if that much of the future is unknowable, you should ask: What exactly are we doing when we recommend a stock? Are we just guessing better than the next person?

No. It is something simpler than that, and more honest. We take what can be known and build on that.

We keep coming back to a few things

- ▶ Is the company's management trustworthy? Does it own up to mistakes rather than hide the damage?
- ▶ Is management adapting to changed circumstances, or living in denial?
- ▶ Does the balance sheet have enough cash and room to cover a long period of disruption without risking dilution or debt?
- ▶ Does the business generate real, recurring cash flows?
- ▶ Is the valuation low enough to protect us if things do not work out as planned?

As you can see, there is nothing fancy here. No secret formula. No complex algorithm. The important thing is judgment. That is what investing always comes down to.

We weigh what we know against the unknowns. It still leaves us without all the answers, but that is real life. What matters is whether the knowns are strong enough to carry the company through the unknowns. That is also why the best investments often still come with a fair number of unknowns. If everything were clear, it would already be in the stock price, and there would be no bargain left. ☑

Mohammed Ekramul Haque is a Senior Manager at Value Research Stock Advisor

Borrower is the bottleneck

How to find the banks best positioned to grow when the system eventually gives them room



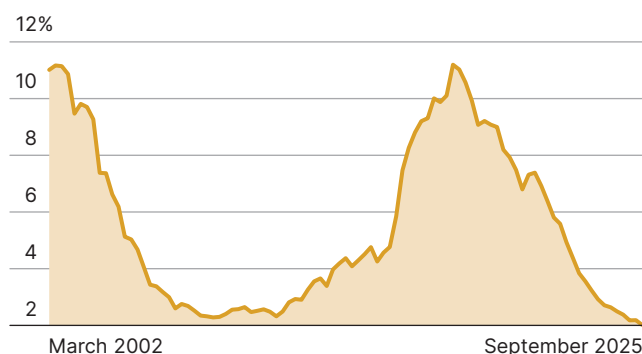
By
Ashish
Menon

India's banking system is in the best shape it has been in at least two decades. Gross non-performing assets have fallen from a peak of 11.18 per cent in March 2018 to 2.05 per cent by September 2025, the lowest on record. Public sector banks have returned capital at 14 to 15 per cent over the last two years, a level unimaginable five years ago. Private banks are growing their loan books at 10 to 12 per cent. Even small finance banks have cleaned up faster than most expected.

This is genuinely good news. And it is precisely why the next question matters so much. If the system is this clean, why are most banks struggling to deliver exceptional returns over time? Why does the market seem reluctant to ascribe re-rating multiples to even the best-run lenders?

The healthiest balance sheets ever

Gross NPAs peaked at 11.18 per cent in March 2018. Today, they have fallen to just 2.05 per cent.



Gross NPAs for the entire banking system comprising of all scheduled commercial banks. Source: RBI.

The answer is not a mystery. It is a structural fact that rarely gets stated plainly: a bank cannot grow faster than the economy produces creditworthy borrowers. Management quality, digital infrastructure, branch networks, and interest rate cycles all matter at the margin. But the binding constraint on any large bank's growth is always the same: the availability of borrowers who can repay.

The constraint hiding inside the good news

Credit in the Indian banking system has grown at roughly 13 to 14 per cent annually over the last two and a half decades, broadly tracking the nominal GDP growth of 11 to 12 per cent over the same period. This relationship is not a coincidence.

When a bank makes a loan, it creates a deposit elsewhere in the system. The stock of quality borrowers grows in line with economic output. Banks can shuffle market share around. They cannot create borrowers.

Demand for credit is, in a sense, infinite. But demand at commercially viable rates, from borrowers who will actually repay, is finite. It grows at roughly the pace of the real economy plus inflation. A bank that tries to outpace this has only one avenue: lower its standards. The NPAs that followed the infrastructure lending boom in 2008-12 were not an accident. They were the consequence of banks that tried to write their own growth story in a system that had not yet earned it. This is the discipline that the best bank managements internalise and the worst ones ignore.

HDFC Bank: A 25-year master class

No institution illustrates this thesis better than HDFC Bank. Its history is not simply that of good management. It is a record of knowing when the system will carry you and when it will not.

Despite the Indian banking system being in top form, most banks are struggling to deliver strong returns. Reason? A shortage of creditworthy borrowers who can repay.

In its first phase, from roughly 2002 to 2007, HDFC Bank was small enough that system dynamics barely constrained it. With a loan book of roughly ₹6,800 crore and a market share of just 1.12 per cent, it grew at nearly 50 per cent annually. When you are that small, the ceiling of creditworthy borrowers feels impossibly distant.

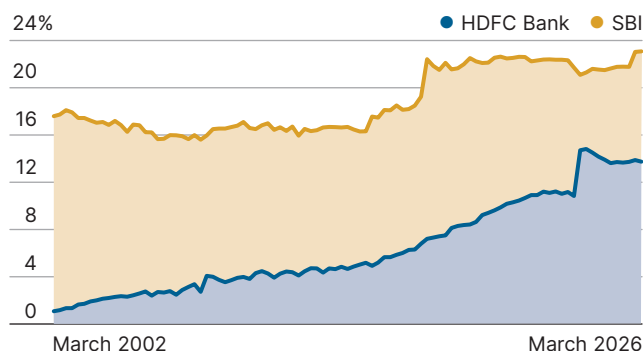
The second phase, from 2008 to 2022, was defined by the sequential collapse of competitors. The infrastructure lending crisis impaired ICICI Bank and IDBI Bank, both of which had aggressively expanded into project finance and paid the price with years of NPA-driven impairment. HDFC Bank, having avoided that lending, stepped into the space they vacated. Then came the PSU bank crisis from 2015 onward, where NPAs peaked at 13-14 per cent. State-owned banks lost roughly 16 to 17 percentage points of loan market share by 2022. HDFC Bank absorbed nearly 40 per cent of it. In both windows, the bank did not create the opportunity. It was ready when the opportunity appeared.

The third phase began with the HDFC merger in 2023. The combined entity now holds ₹29.4 lakh crore of system loans, a 13.75 per cent market share. For seven consecutive quarters since the merger, loan growth has tracked near or below system averages. This was deliberate. But the math holds: when you are the system, you can only grow as fast as the system grows.

The lesson is obvious. HDFC Bank compounded at extraordinary rates for most of its history not because it was perpetually exceptional, but because it was consistently clean when cleanliness was rare, and patient when a competitor's crisis created room to run.

Over two decades, one relentless shift

HDFC Bank's advances market share inches closer to driving the system the way SBI's does



Source: RBI



Illustration: Anand Kumar

The yardstick: How to measure a bank

Before applying this framework, investors need a single, consistent measuring stick: return on assets or ROA.

ROA is the cleanest measure of how efficiently a bank converts its asset base into profits. It cuts through the noise of leverage and capital structure that can make return on equity (ROE) misleading. A bank can boost ROE by running a thin capital cushion. ROA is harder to flatter.

The calculation is straightforward: net profit divided by average total assets. A well-run private bank should deliver 1.25 to 1.5 per cent; a PSU bank 0.75 to 1 per cent.

The real value comes from deconstructing ROA into three components. First, net interest margin (NIM), which is the spread between what a bank earns on loans and pays on deposits, is typically 3 to 4 per cent for Indian private banks. Second, credit cost: the proportion of loans provisioned as bad each year. A bank with a GNPA of 3 per cent but thin provisioning will report better profits and hence better ROA today and a worse one tomorrow. Third, the cost-to-income ratio, which captures operating efficiency. Digital-native lenders have structurally lower costs than branch-heavy incumbents.

High NIMs, low credit costs and low cost-to-income ratio are ideal but only if each is structural, not cyclical. NIMs built on riskier lending and low credit costs from thin provisioning flatter today's ROA at tomorrow's expense. Read the three together as they reveal whether the ROA trend is real or engineered.

Then there is ROE, which is simply ROA multiplied by financial leverage. A bank with 1.5 per cent ROA running at 10 times leverage produces 15 per cent ROE; one with 0.8 per cent ROA at the same leverage produces 8 per cent. Sustainable ROE improvement must come

through ROA improvement, not through adding leverage. Leverage-driven ROE growth is borrowed time.

Where to look now

With this yardstick in hand, the Indian banking universe resolves into three archetypes worth tracking.

The first is the large, clean bank waiting for a catalyst: institutions with ROAs above 1.5 per cent, strong capital ratios and conservative provisioning. Their near-term growth will track the system. But the next time a competitor stumbles through an asset-quality crisis, a merger-induced distraction, or a regulatory constraint, these banks will have balance-sheet firepower to step in.

The second is the mid-sized bank with stated ambition to grow faster than the system. Any bank expecting to grow at such a pace comes with a question: Will the clean metrics at present be consistent with growth? A GNPA below 2 per cent, a credit cost below 1 per cent and an NIM above 3.5 per cent are the checkpoints. Growth with a deteriorating credit cost is not worth paying for.

The third is turnaround: a bank moving from average to genuinely good. This is the only place with a genuine opportunity for blockbuster returns, thanks to re-rating prospects. The opportunity here is that re-rating lags fundamental improvement, giving a patient investor time to act before the market catches up. But once again, this comes with a risk. The promise these banks show must actually be reflected in numbers consistently. Prioritising ROA growth over volume, a deliberate shift in management approach, are two signs to look for.

PSU banks and small finance banks are worth mentioning, but they come with a separate set of challenges that require playing the cycles.

The principle to carry

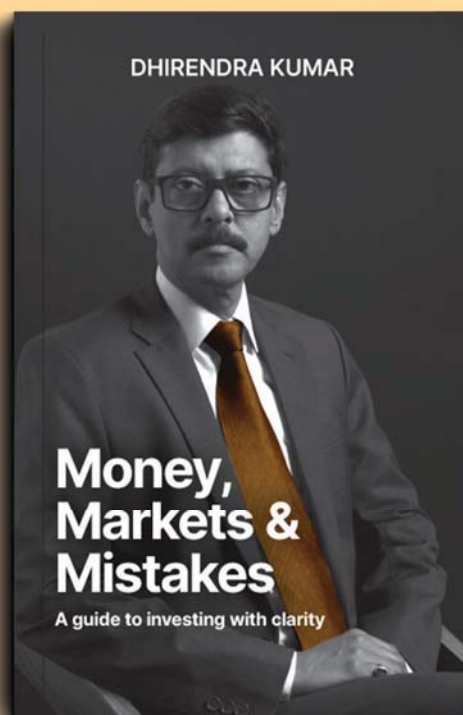
India's banks are clean. That is the starting point, and it matters. But cleanliness is a precondition for compounding, not its source. The banks that will generate exceptional returns from here are those that grow when the system gives them room, wait patiently when it doesn't, and keep their credit costs low enough that the next crisis becomes an opportunity, not a threat.

Measure ROA. Decompose it. Watch it over cycles, not quarters. The borrower is the bottleneck. The bank that manages that constraint with discipline and seizes the moment when a competitor forgets it is the one worth owning. ☑

Ashish Menon is a Chartered Accountant (CA), a CFA charterholder and Senior Equity Analyst at Value Research Stock Advisor

Clarity, not chaos

The smartest guide
to Indian investing



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Dhirendra Kumar



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When adding people stops adding money

Why engineer headcount no longer drives growth



By
**Advait
Arora**

For almost three decades, Indian IT had an amazingly powerful business model: take work from the US or Europe, deliver it from India at a lower cost, hire more engineers, bill more hours, earn the spread and keep scaling. That model built a \$300 billion-plus Indian technology industry, created nearly six million direct jobs, and made TCS, Infosys, HCLTech, Wipro and Tech Mahindra global names.

But FY26 is the first year this model has started to look structurally different. The old equation was simple: more people meant more revenue. Now revenue is growing faster than headcount. NASSCOM expects India's technology industry to touch around \$315 billion in FY26, up 6.1 per cent, while headcount growth is only around 2.3 per cent. Truth is, the industry is still growing, but it is no longer growing mainly by adding people.

AI is accelerating this shift much faster than most people expected. It will be very dramatic to say that Indian IT companies are being disrupted by AI. What is actually happening is that the lower-end work within IT is gradually being repriced across contracts. Testing, maintenance, basic coding, support, documentation, repetitive BPO work, report generation and simple workflow automation are exactly the kinds of tasks where AI can significantly reduce human effort. A project that earlier needed 100 people may still need 100 people today, but over the next few years, it may need 70, then 50, with the remaining team using AI tools to produce the same

output faster. A bank that earlier needed 2,000 people for customer support may eventually run the same workload with 800 to 1,000 people plus AI copilots.

That is why revenue per employee has suddenly become the number everyone is watching. In FY26, TCS, Infosys, HCLTech and Tech Mahindra reportedly saw revenue per employee improve by around 3-4 per cent. Sounds small, but for companies with 2-6 lakh employees, even a 3 per cent shift in productivity changes hiring plans, margin calculations and the entire pyramid structure underneath.

The bigger worry, though, is at the fresher level, and I think this does not get enough attention. India produces roughly 15 lakh engineering graduates every year. For many middle-class families, IT services became the safest white-collar ladder over the last 20 years. But if AI reduces demand for low-end coding, testing and support roles, the old campus hiring model may not return in the same form. A fresher writing repetitive testing scripts today is at much higher risk than someone already working in cybersecurity, cloud migration or AI governance. Companies may still hire, but they will want people who understand domain, data, cloud, cyber, AI tools and client workflows, not just basic coding.

What is happening in India is actually playing out globally, too. AI has moved from noise and hype to real capital expenditure and real execution. The four big US hyperscalers, Microsoft, Amazon, Google and Meta, are expected to spend roughly \$700 billion plus on capital expenditure in 2026, largely around AI data centres, chips, networking and power infrastructure. NVIDIA is no longer a \$3 trillion story. As of mid-May

NASSCOM predicts India's tech industry to touch \$315 billion in FY26, up 6.1 per cent, while headcount growth is only 2.3 per cent. This shows that while the industry is still growing, growth doesn't come by just adding people.



Illustration: Anand Kumar

2026, Nvidia has a market cap of around \$5.5 trillion, trading at 50-plus times earnings, which clearly shows where the world believes future profits are accumulating. ChatGPT itself has gone from a consumer curiosity to a mass platform. OpenAI said ChatGPT crossed 900 million weekly active users by early 2026, with around 50 million paying subscribers. The number that strikes me most is not the user count, but rather that employees at all levels in IT companies are already using ChatGPT, Claude or Copilot daily to finish work faster. It is not a strategy announcement.

For Indian IT firms, the impact cuts both ways, and the pressure side is more visible right now. If global clients can automate 20 per cent of old service work, they will ask Indian vendors to pass back some of the savings. HCLTech has already spoken about AI-driven cost reduction affecting parts of its portfolio. Some old contracts may renew at lower revenue even if the work volume stays the same. A \$100 million deal may renew at \$80 million if enough effort gets automated away. That is uncomfortable for an industry that has always measured itself through total contract value growth.

But the opportunity sitting on the other side is actually larger, if Indian IT moves fast enough. Every large enterprise now wants AI, but almost none know

how to run it in their actual operations. Banks want AI for fraud detection, underwriting and customer service. Hospitals want it for claims processing, diagnostics support and report summarisation. Manufacturers want it for predictive maintenance. Retailers want it for demand forecasting. Governments want it for citizen services. Indian IT firms already have deep relationships with all these clients and understand the legacy systems underlying them. This type of institutional knowledge is extremely difficult to replace with a fresh AI startup walking in.

The shift is from 'send us engineers' to 'come fix our business problem using AI', and that is a fundamentally different engagement. TCS is talking about becoming a full-stack AI services player, including infrastructure. HCLTech, well, actually, all the large players have spoken about AI-native services growing 25 to 30 per cent over the next few cycles. Wipro has created a dedicated unit for it. Tech Mahindra is experimenting with pricing models in which clients pay for outcomes or service tokens rather than by employee hours.

My sense is that many investors are still underestimating how different this business model could look five years from now. The transition is not from IT services to no IT services, but rather from labour arbitrage to something harder to describe but

AI won't destroy Indian IT, but it will force it to evolve from a manpower model into something more sophisticated. If India gets this right, the opportunity could dwarf what the original outsourcing wave created.

far more valuable, where India brings smarter implementation, domain knowledge and AI-led execution rather than just cheaper engineers. Lower headcount, higher output per person, better margins, more defensible client relationships. The next wave of value may come from AI integration into legacy enterprise systems, cybersecurity wrapped around AI deployments and AI agents built specifically for banking, telecom, retail and healthcare. Data engineering and model governance could become a major opportunity over the next few years, especially in regulated sectors such as Banking and Healthcare. Add industry-specific platforms and the human oversight layer that sits above automated AI outputs, and you have a very different revenue mix than what Indian IT runs today. All of this is real, complex work, and Indian IT has the delivery experience to execute on it.

India has already built population-scale digital systems that most of the world simply has not. UPI handles nearly 18-19 billion monthly transactions. Aadhaar, DigiLocker, ONDC and India Stack have created a digital foundation that very few countries have managed at this scale and speed. If AI gets properly layered on top of these systems, India becomes one of the largest AI-use markets in the world, not just an outsourcing hub for someone else's AI strategy.

Now, the tricky part: nobody fully knows how fast this transition happens within enterprises. AI adoption still looks very uneven on the ground. Some companies are moving aggressively, while others are still stuck at small pilot projects with no clear path to scale. The disruption may come slower than the headlines suggest. But once large enterprises start seeing real, measurable cost savings from AI deployment, adoption can accelerate rapidly, and the pricing pressure on Indian IT could be stronger than current guidance reflects. I do not think anyone can confidently predict which timeline plays out, and I am suspicious of anyone who claims otherwise.

There is also some structural risk worth watching

carefully as an investor. The highest profits in AI right now are sitting with chip companies, cloud providers, model builders and platform owners. NVIDIA, Microsoft, Google, Amazon, Meta and OpenAI are capturing the structural value layer. Indian IT is still mostly in the implementation and services layer, below all of that. If Indian companies only ever deploy other people's AI tools, margin improvement will be slow and hard-fought. If they manage to build their own reusable platforms, proprietary IP and vertical AI products for specific industries, the economics can change meaningfully. But building proprietary platforms is expensive, takes years and requires very different talent than traditional IT services.

So where does that leave us as investors thinking about Indian IT right now? Will it actually stay a headcount-driven services business with slower growth and gradual pricing pressure? Or does it successfully reinvent itself as an AI-enabled enterprise transformation business with fewer people, higher output and meaningfully better unit economics? My sense is that the answer will differ across companies, and the next three to four years will make very clear who transitions well and who gets left behind, running the same old playbook with a fresh AI badge stuck on top.

Large companies like TCS, Infosys, HCLTech and others have real advantages going into this: client relationships built over decades, strong cash flows, deep delivery experience, and balance sheets that can absorb the transition costs. The easy days of hiring lakhs of freshers and billing by the hour are clearly behind us. But the harder, more interesting game ahead could still reward these same companies if they move with real urgency rather than just talking about AI in every quarterly call.

AI will not destroy Indian IT, but it will absolutely force it to grow up from a manpower model into something more sophisticated, and that transition will be uncomfortable, uneven and important to watch closely. If India gets this right over the next decade, the opportunity could dwarf what the original outsourcing wave created. That possibility is what makes this transition so important to track over the next decade. ☑

Advait Arora, known famously as 'Wealth Enrich', is an independent investor with over two decades of experience. He also holds a Master's in IT management and an MBA. The views expressed herein are personal and for informational and educational purposes only.

High-growth small caps

Finding small-cap stocks that go on to become mid and even large caps is every investor's dream. Our screen can help you do that.

A stock screen filters out companies based on certain criteria. The main advantage of using a stock screen is that it helps you generate stock ideas with a few clicks. It eliminates the time-consuming process of 'finding' companies.

Value Research applies carefully selected stock filters to the universe of Indian stocks to identify and present attractive companies to you. In this issue, we will be covering the 'Small-cap growth companies' screen in detail. We have also given a concise list of stocks from our other screens.

If you want to view all the companies, head to:

<https://www.valueresearchonline.com/stocks/selector/>.



Adobe Stock

Small-cap growth companies

The greatest joy of compounding, for any investor, is unarguably the journey of a small-cap company transforming into a large-cap company. However, the small-cap arena is like the Roman-era Colosseum – many participated in the gladiatorial games, but only a few

survived to tell their tale.

Thus, to remove poor-quality small caps, we have applied filters for solvency (debt), business quality (i.e., ROE) and revenue growth. To further refine the list and incorporate valuation, we have selected companies with a PEG (P/E to earnings growth) of less than one.

Small-cap investing requires a lot of groundwork. Pick companies that you understand and research them in detail.

This is not for the faint-hearted or amateurs. On their journey to become larger companies, small caps will undoubtedly face multiple headwinds. You should have the skillset to judge whether these are transient or not. You will also need perseverance to deal with the frequent drawdowns in your portfolio.

A word of caution

These are not stock recommendations. Please do your due diligence before investing. If you are interested in a list of stocks to invest in, subscribe to **Value Research Stock Advisor**.

Key terms

M-cap

Stands for market capitalisation. Obtained by multiplying the stock price by the total number of shares. Shows a company's market value or size.

Price-earnings to growth ratio (PEG)

Ratio of price to earnings to the EPS (earnings per share) growth of a stock. Demonstrates how high a price we are paying for the growth that we are purchasing. In all our analyses, we have taken five-year historic EPS growth.

Stock Rating

Value Research Stock Rating combines the three scores (quality, growth and valuation) based on assigned weights to arrive at a holistic stock rating. We have created a five-star rating system. The higher the stock rating, the better.

Growth Score

It evaluates a business's historical growth and scale, using metrics such as revenue growth, operating cash flow growth, Piotroski F-score, etc. The score is based on absolute ranges and is driven by current performance and historical

consistency of growth. Per share data is considered for each parameter to calculate growth. The score is out of 10, and the higher the score, the higher the historical growth.

Return on equity (ROE)

Measured by taking profit after tax as a percentage of the net worth of the company. Indicates how efficiently the company has been able to utilise investors' money.

3Y revenue growth (% pa)

Measures the three-year annualised growth rate of a company's revenue.

3Y EPS growth (% pa)

The three-year annualised growth rate of a company's earnings per share (EPS).

Stock Style

Derived from a combination of the stock's valuation – growth or value, and its market capitalisation – large, mid and small. Below is the stock style of a large-cap growth stock.

Growth Value	
	Large
	Mid
	Small

Small-cap growth companies

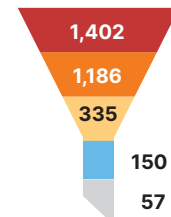
Reasons to invest

- All-weather style
- Companies with strong fundamentals
- Greater stability vis-a-vis value or growth

The filters

- Market cap between ₹500 crore and ₹12,545 crore
- Debt-to-equity of 0 to 1
- ROE 3Y avg more than 20%
- Revenue 3Y growth more than 20%
- PEG (5Y) 0 to 1

No. of companies that cleared the filters



Company Industry	Stock style	Stock Rating	P/E	PEG	Qtly. EPS growth (%)	TTM EPS growth (%)	5Y EPS growth (% pa)	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
Advait Energy Electrical Machinery	■ ■ ■ ■ ■	★★★★	44.6	0.5	26.9	71.8	68.1	2,092	1,908	2,163-1,351
Advance Agrolife Pesticides	■ ■ ■ ■ ■	★★★★	18.7	0.2	34.3	26.1	210.6	660	102	154 - 84
Afcom Holdings Air Logistics	■ ■ ■ ■ ■	Unrated	53.3	0.4	34.3	70.4	38.0	2,583	893	1,144 - 638
Ashapura Minechem Diversified Mining	■ ■ ■ ■ ■	★★★★	16.3	0.3	27.1	37.7	33.0	6,136	652	925 - 366
BLS International IT Services & Consulting	■ ■ ■ ■ ■	★★★★★	16.9	0.5	33.1	29.6	41.9	10,870	261	422 - 219
Blue Cloud Softech Software	■ ■ ■ ■ ■	★★★★	21.8	0.4	21.1	949.8	58.7	1,340	19	38 - 17
Bondada Engineering Energy & Power Projects	■ ■ ■ ■ ■	Unrated	18.5	0.2	34.2	67.5	146.0	3,763	340	510 - 215
Borana Weaves Yarn	■ ■ ■ ■ ■	★★★★★	13.2	0.1	83.6	90.0	20.3	853	320	420 - 211
Crizac Other Business Services	■ ■ ■ ■ ■	★★★★	23.4	0.8	48.7	47.7	29.7	3,574	208	388 - 173
Dynamic Cables Wires & Cables	■ ■ ■ ■ ■	★★★★	17.1	0.5	20.1	21.5	30.3	1,441	299	527 - 237
Enviro Infra Engineers Water & Sewage Construction	■ ■ ■ ■ ■	★★★★★	16.2	0.2	45.6	68.3	4.4	3,299	190	306 - 135
EPack Prefab Metal Tanks & Fabrications	■ ■ ■ ■ ■	★★★★	21.3	0.1	24.3	36.1	64.7	1,969	193	344 - 132
Fujiyama Power Renewable Energy & Services	■ ■ ■ ■ ■	★	26.9	0.1	36.2	44.9	244.6	8,174	268	313 - 172
Garuda Construction Cons. & Eng. - Diversified	■ ■ ■ ■ ■	★★★★★	12.8	0.1	41.3	43.0	134.2	1,564	172	249 - 102
Gokul Agro Resources Edible Oil	■ ■ ■ ■ ■	★★★★★	19.2	0.4	23.2	29.8	50.4	7,082	241	250 - 119

STOCK SCREEN

Company Industry	Stock style	Stock Rating	P/E	PEG	Qtly. EPS growth (%)	TTM EPS growth (%)	5Y EPS growth (% pa)	Market cap (₹ cr)	Share price (₹)	52-week high/low (₹)
Interarch Building Iron & Steel		★★★★★	20.9	0.8	20.4	20.3	20.5	2,810	1,685	2,763-1,600
Khazanchi Jewellers Gems & Jewellery		Unrated	33.9	0.4	23.1	90.3	64.4	1,522	617	800 - 535
Kilburn Engineering Cons. & Eng. - Diversified		★★★	28.9	0.6	25.6	25.2	11.6	2,650	479	545 - 473
KMC Speciality Hospitals Hospitals & Clinics		★★★★★	42.5	0.9	21.4	24.5	52.7	1,557	94	98 - 63
Knowledge Marine Shipbuilding & Maintenance		★★★★★	78.4	0.7	32.7	48.6	30.6	5,003	2,058	2,285-733
KPI Green Energy Renewable Elec. Generation		★★★★★	17.6	0.4	26.9	61.2	46.0	8,403	436	563-336
KRN Heat Exchanger Heating & Cooling Systems		★★★★★	85.2	0.5	44.6	40.3	34.1	6,514	1,040	1,405-590
Kross Auto Ancillaries		★★★	21.7	0.7	29.3	27.8	11.5	1,199	193	238-151
Monarch Network Fin. Services - Diversified		★★★★★	14.1	0.6	31.1	33.6	15.3	2,562	319	399-235
One Global Service Yarn		★★★★★	13.6	0.0	43.1	200.5	97.2	846	443	790-187
Oswal Pumps Pumps & Compressors		★★★★★	11.3	0.1	72.8	58.3	53.3	4,254	376	888-283
Pace Digitek Network Equipment & Tools		Unrated	14.2	0.9	30.5	81.8	2.5	3,790	179	232-140
Platinum Industries Other Building Products		★★★	24.1	0.6	41.8	27.7	5.8	1,250	227	342-184
P N Gadgil Jewellers Gems & Jewellery		★★★★★	17.3	0.2	30.4	44.4	83.3	7,096	518	736-503
Prostarm Info Energy & Services Diversified		★★★	26.6	0.4	33.4	27.0	27.2	847	148	253-108
Quality Power Transformers & Transmission		★★★	65.4	0.7	38.5	22.6	51.0	7,930	1,015	1,441-359
Ratnaveer Precision Stainless Steel		★★★	20.4	0.3	20.6	30.6	18.8	1,314	183	193-131
RM Drip Irrigation Equipment		Unrated	34.5	0.1	21.4	93.8	166.9	829	19	72-17

Data as of May 18, 2026. For the full list, scan the QR code on the right.



Want more? Here you go

Other screens available on the Value Research website, along with their themes and some of their stocks

		P/E	P/E
High momentum large caps Gives a list of large caps that are in vogue right now		Cummins India	65.5
		Hindalco Industries	14.7
		Hindustan Zinc	19.4
		Muthoot Finance	12.5
		Nestle India	78.9
		NTPC	15.5
		ONGC	9.9
		Polycab India	51.6
		State Bank Of India	10.4
		Shriram Finance	21.9

High momentum mid caps Gives a list of mid caps that are in vogue right now		Anthem Biosciences	98.3
		Apar Industries	50.1
		Aurobindo Pharma	24.8
		AU Small Finance	27.7
		BSE	67.3
		GE Vernova T&D	92.0
		Hitachi Energy	173.6
		Jindal Steel	37.3
		KEI Industries	53.0
		Linde India	104.6

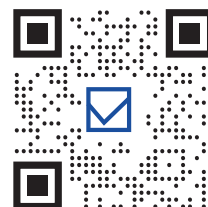
High momentum small caps Gives a list of small caps that are in vogue right now		Anand Rathi Wealth	75.0
		Antelopus Selan	30.6
		Atlanta Electricals	62.5
		Avanti Feeds	27.0
		Bajaj Consumer Care	35.8
		Bandhan Bank	25.1
		Black Box	77.7
		Can Fin Homes	10.3
		Care Ratings	30.3
		Cheviot Company	9.8

Cheap quality stocks Quality stocks currently available at cheap valuations		3B BlackBio Dx	19.3
		Atul	29.9
		Butterfly Gandhimathi	26.9
		Commercial Syn Bags	22.0
		Dalmia Bharat	11.5
		Eveready Industries	13.6
		Excelsoft Technologies	28.3
		Expleo Solutions	11.3
		Federal-Mogul Goetze	13.4
		Gokul Agro	19.3
		P/B	P/B

Book value discount Stocks that are trading at a discount to their book values		Abans Financial Services	0.8
		Bank Of Baroda	0.9
		Capital Small Finance	0.9
		Central Bank Of India	0.9
		Consolidated Finvest	0.7
		The J&K Bank	0.9
		Punjab National Bank	0.8
		South Indian Bank	0.9
		Karnataka Bank	0.7
		Union Bank Of India	1.0

For all the screens and to customise them as per your requirements, scan the QR code

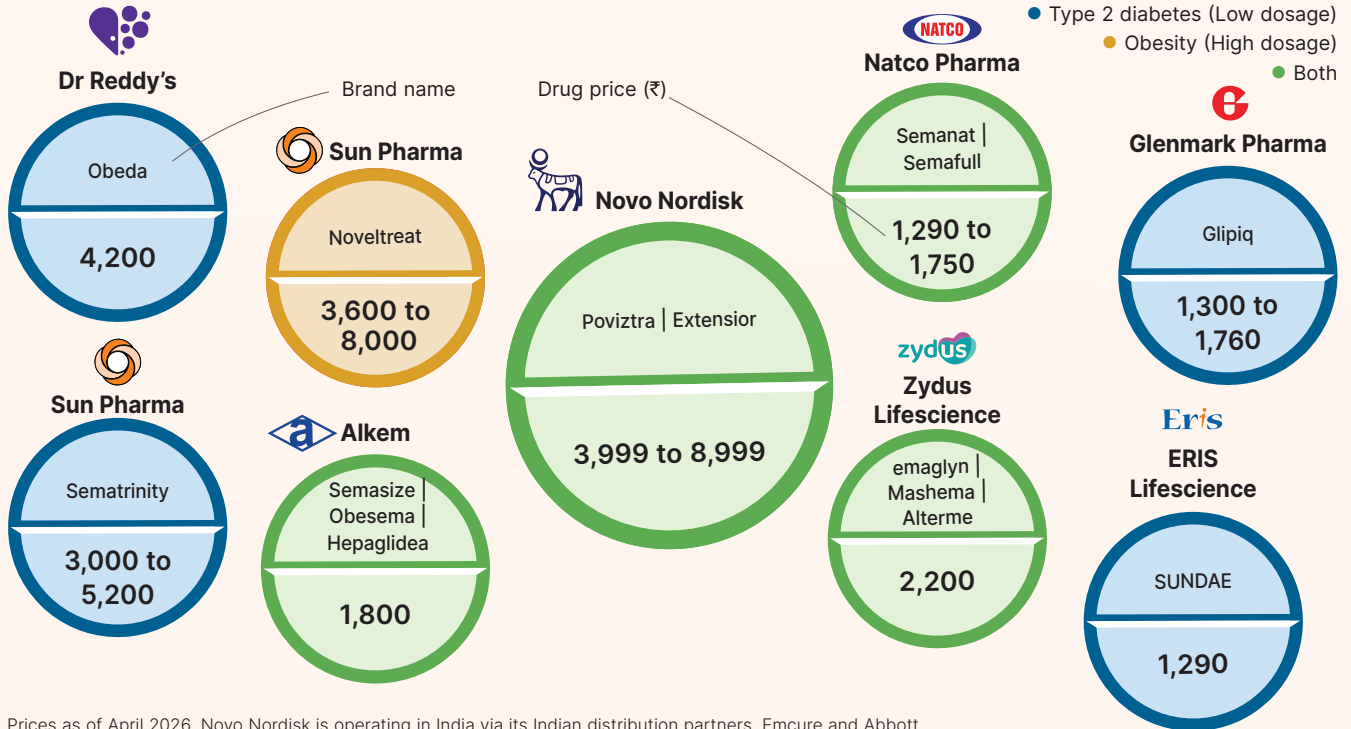
● Stock Rating ● Value Guru screens ● Easy peer comparison



The semaglutide rift

The world's most wanted generic is here

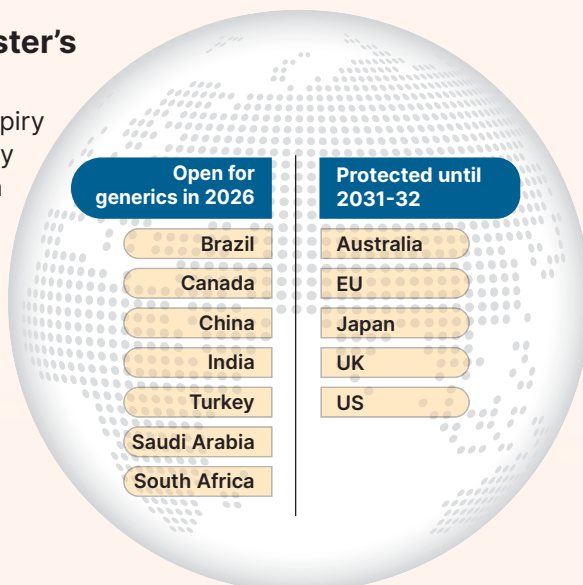
After Novo Nordisk's patent expiry, India's pharma giants moved fast and cheap



Prices as of April 2026. Novo Nordisk is operating in India via its Indian distribution partners, Emcure and Abbott.

A blockbuster's borders

The patent expiry map that every Indian pharma company is watching closely



10.1 cr

Adults in India with Type 2 diabetes



18.5 cr

Indians projected to have diabetes by 2050

25%

Adults aged 15-49 overweight or obese



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SIP

Systematic Investment Plan is a facility offered by Mutual Funds which enables investors to invest a fixed amount at a specified interval into a particular fund.

STP

Systematic Transfer Plan is a facility wherein an investor can opt to transfer a fixed amount at regular intervals from one scheme to another, at a predefined frequency.

SWP

Systematic Withdrawal Plan is a facility that allows you to withdraw a fixed amount from an existing mutual fund at a predetermined interval.

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